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EXAMINATION CAPSULE

FOR C.B.S.E. EXAMINATION: 2026 MAKE IT EASY

ECONOMICS

CLASS: XII

R S SAINI

PGT- ECONOMICS

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"What the mind of man can conceive and believe, it can achieve" - Napoleon Hill

PART-A INTRODUCTORY MACROECONOMICS

NATIONAL INCOME AND RELATED AGGREGATES

Q1. Increase in production of goods and services means increase in GDP. If a country increases its production of Guns, Tanks, and bombs, will it increase its welfare of people? Give two arguments.

Ans. It is partially true that increase in production of goods and services means increase in GDP because if a country increases its production of Guns, Tanks, and bombs, it will increase the size of GDP, but people need bread, butter, shelter, drinking water, etc, if guns are produced people will be unable to purchase bread and butter. So, production of weapons will reduce welfare of people.

Q2. "Machine purchased is always a final good", Do you agree? Give reasons for your answer.

Ans. Whether machine is a final good or it depends on how it is being used end use. If machine is bought by a household, then it is a final good. If machine is bought by a firm for its own use, then also it is a final good. If the machine is bought by a firm for resale, then it is an intermediate good.

Q3. Classify the following as intermediate goods or final goods:

(i) Paper purchased by publisher

(ii) Milk purchased by household

(iii) Computers installed in an office

(iv) Fees paid to the lawyer by a producer

Ans. Final goods: (ii) & (iii) intermediate goods: (i) & (iv)

Q4. Giving valid reasons explain which of the following will not be included in the estimation of the National Income of India?

(i) Purchase of shares of X Ltd. by an investor in the National Stock Exchange.

(ii) Salaries paid by the French Embassy, New Delhi to the local workers of the housekeeping department.

(iii) Compensation paid by the Government of India to the victims of floods.

Ans. The following will not be included in the estimation of the National Income of India:

(i) As such transactions are mere paper claims and do not lead to any value addition.

(iii) Compensation paid by the Government of India is a mere transfer payment and does not lead to any flow of goods and services in an economy.

Q5. Between 'investment' and 'capital' which is a stock and which is a flow variable? Explain with an illustration.

Ans. Capital is a stock variable as it is measured at a point of time. We often find producers estimating their capital stock at the end of the year, which refers to a point of time or a particular date.

Investment is a flow variable. Investment means addition to the stock of capital during an accounting year. It is measured for the year. If a firm has a stock of 10 machines on 31 March 2022 and has 15 machines as on 31 March 2023, it has added 5 machines to the stock of its capital during the year. This is its investment.

Q6. Which among the following are capital goods and which are consumer goods and why?

(i) A car is used as a taxi

(ii) Refrigerator in a hotel

(iii)AC in a house

Ans. (i) Capital goods, because it is used for producing services.

(ii) Capital goods, because it is used for providing services over a period of time to the hotel.

(iii) Consumer goods, because it is used for satisfaction of a want by a household.

Q6. Subsidies to the producers should be treated as transfer payments. Defend or refute the given statement with valid reason.

Ans. Refute, subsidies to the producers should not be treated as transfer payment. Subsidies in a form of financial or in kind of support extended to an economic sector, institution, business etc. generally with the aim of promoting economic and social policy.

Q7. Read the following statements and answer the questions.

(i) Domestic/household services performed by a woman may not be considered as an economic activity'. Defend or refute the given statement with a valid reason.

(ii) 'Compensation to the victims of a cyclone is an example of a welfare measure taken by the government'. State with a valid reason, should it be included/not included in the estimation of the national income of India.

Ans. (i) The given statement is defended, as it is difficult to measure the monetary value of the services performed by a woman (homemaker). Therefore, these activities may not be considered as an economic activity.

(ii) Compensation given to the victims of a cyclone is an example of a social welfare measure taken by the government. However, it is not included in the estimation of national income as it is a transfer payment that does not lead to a corresponding flow of goods and services.

Q8. Explain why subsidies are added to and indirect taxes deducted from domestic product at market price to arrive at domestic product at factor cost?

Ans. Subsidies by government are grants that decrease the price of a commodity, whereas indirect taxes are paid by a firm and households that increase the final price of a commodity. Hence, to derive Gross Domestic Product at Factor Cost from Gross Domestic Product at Market Price, we deduct indirect taxes and add subsidies. Also, subsidies are the income received while indirect taxes are paid.

Q9. Distinguish between 'capital good' and 'capital stock' by giving a proper illustration.

Ans. Capital goods are the durable use producer goods and involve depreciation losses while in use. Example: plant and machinery. Capital stock is a stock of all man-made goods which can be used as a means for further production. Capital goods are only a part of capital stock. Besides capital goods, capital stock also includes the stock of consumer goods, semi-finished goods or even raw materials which can be used for the purpose of further production or value addition. Example: stock of wheat with the flour mill is a part of its inventory stock, and therefore, a part of its capital stock.

Q10. Classify the following into intermediate goods and final goods. Give valid reasons for your answers:

(i) A sewing machine purchased by a household.

(ii) Machinery used for production by a firm.

(iii) Air conditioner purchased by a shopkeeper to be used in his shop.

(iv) Purchase of ticket for train journey by an individual.

Ans. (i) It is a final good because the household is the final user of the sewing machine and no value is to be added to the machine

(ii) It is a final good because a firm purchases a machine for further production of output to be sold to final users

(iii)It is a final good because air conditioner in an investment expenditure as it adds to the capital stock of the shopkeeper

(iv) It is a final good because it is a final consumption expenditure which the passenger purchases for its own consumption i. e., travelling. No further value addition can be made on it.

Q11. Sale of petrol and diesel car is rising particularly in big cities. Analyse its impact on GDP and welfare

Ans. GDP will increase but due to negative externalities it reduces the welfare as the health of the people gets badly affected by the population.

Q12. Distinguish between:

(i) Final goods and Intermediate goods

(ii) Stock and Flow variable

Ans. Final Goods vs Intermediate Goods:

Final Goods: Final goods are those goods that are manufactured to be consumed directly by the consumer. These goods are finished goods. These goods are available for consumption or can be used for capital formation. Final goods are considered to be a part of national income and have an impact on the national income.

Intermediate Goods: Intermediate goods are referred to as those goods that are used for producing final goods. These goods are goods that are partly prepared and can be referred to as unfinished goods or partly finished goods. Intermediate goods are not included in the national income and therefore, have no impact.

Stock and Flow:

Stock: Stock is defined as a variable that is measured at a particular point in time. It does not have a time dimension attached with it. Stock is static in nature. Stock influences the flow, as such greater amount of capital will lead to greater flow of services.

Flow: Flow is defined as a variable which is measurable over a period of time. It has a time dimension attached with it. Flow is dynamic in nature. Flow influences the stock, as in increased flow of money supply in an economy results in increase in the quantity of money.

Q13. Giving reason, explain whether the following are included in domestic income of India.

(i) Profits earned by a branch of foreign bank in India.

(ii) Payment of salaries to its staff by embassy located in New Delhi.

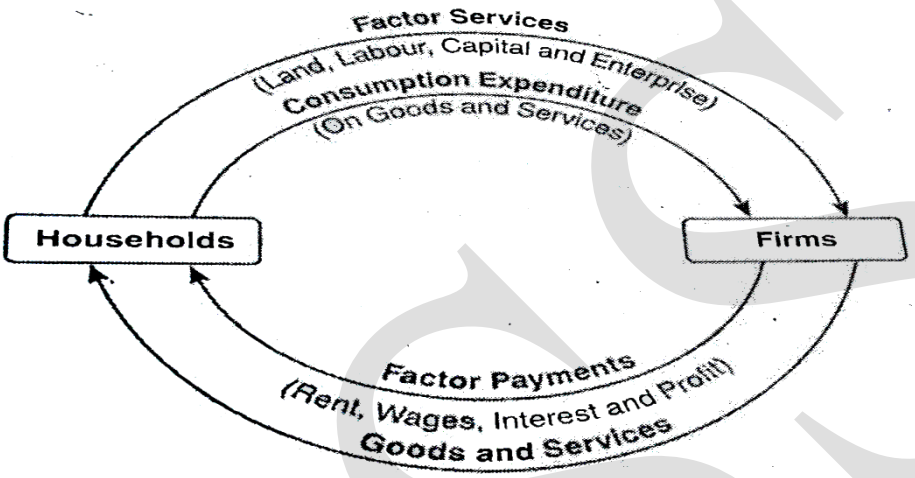
(iii) Interest received by an Indian resident from its abroad firms.

Ans. (i) Profits earned by a foreign bank branch in India are included in India's domestic income because they are earned within the country's borders.

(ii) Since the embassy in New Delhi is not part of India's domestic territory, salaries paid to its employees will not be included in the country's domestic income.
(iii) Interest received by an Indian resident from his or her foreign enterprises is not included in India's domestic income because it is a factor income.

Q14. 'Circular flow of income in a two-sector economy is based on the axiom that One's expenditure is the other's income'. Do you agree with the given statement? Support your answer with valid reasons.

Ans. Yes, the given statement is correct. In a two-sector economy, the firms produce goods and services and make factors payments to the households. The factor income earned by the households will be used to buy the goods and services which would be equal to the income of firms. The aggregate consumption expenditure by the households in the economy is equal to the aggregate expenditure on goods and services produced by the firms in the economy (income of the producers).



Circular flow of income in a two-sector economy - Households are owners of factors of production, they provide factor services to the firms (producing units). Firms provide factor payments in exchange for their factor services. So, factor payments flow from firms (producing units) to households.
Households purchase goods and services from firms (producing units) for which they make payments to them. So, consumption expenditure (spending on goods and services) flows from households to firms.

Q15. State which of the following items will be included in the estimation of national income. Give valid reasons for your answers.
(i) Payment of interest by bank to its depositors/ payment of interest by a firm to households.
(ii) Payment of corporate tax by a firm.
(iii) Net addition to capital stock.
(iv) Profit earned by foreign banks in India.
(v) Expenditure on fertilizers by a farmer.
(vi) Imputed rent of self-occupied houses.

Ans. (i) Yes, it is included in national income. Because it is a factor income paid by a production unit (bank or firm). Banks borrow for carrying out banking services. The firms borrow money for carrying out production.
(ii) No, it is not included in national income as it is a transfer payment. Corporate tax accrues to the government. It is not received by the owners of factors of production. Hence, it is not a factor income.
(iii) Yes, it is included in national income by expenditure method. Because it is net investment or net capital formation, which is an item of final expenditure.
(iv) No, it will not be included in national income of India. It will be included in domestic income of India (since the factor income is earned within the domestic territory). But as it is a factor income paid to abroad, it is subtracted from domestic factor income to get national income.
(v) No, it is not included in national income. Because it is an intermediate expenditure for the farmer and hence deducted from value of output while calculating national income.
(vi) Yes, it will be included in the national income. Because self-occupied houses provide housing service similar to those as rented house.

Q16. State with valid reason, which of the following statement is true or false:
(i) Intermediate goods are always durable in nature.

(ii) The Indian embassy located in foreign country is a part of the domestic territory.
(iii) All capital goods are producer goods whereas all producer goods may not be capital goods.
(iv) Capital goods are used up to produce other goods.
(v) A water tanker containing 500 litres of water in the morning of a day is a stock concept.
(vi) Domestic territory is where there are free movement of goods, capital and people without any hindrance.
Ans. (i) False, because intermediate goods are those goods which are used up completely in the production of other goods, they are not durable in nature
(ii) True, because the Indian embassy located elsewhere will allow the free movement of goods, capital and people of India and so they are part of the domestic territory.
(iii) True. Capital goods are those goods which are durable in nature and which can be used for the production of further goods. While these are used by producers to produce goods, they are also part of producer goods. But producer good contain raw materials and other items which may be used up completely for production of other goods. So, all producer goods are not capital goods.
(iv) False, because capital goods are used for the production of other goods but in the process, they themselves are not used up. Depreciation may occur to them with time but they are not used up.
(v) True. Since the amount of water contained in the tanker is measured at a particular point of time, it is a stock variable.
(vi) True. Domestic territory in economics is different from that of political or geographical sciences. It is the territory within which there is free movement of goods and services, capital and people of a particular country.
Q17. How are these included in Domestic Income and National Income?
(i) Profits earned by a branch of foreign bank in India
(ii) Profits earned by a company in India owned by non-residents.
(iii) Profits earned by a branch of State bank of India in England
(iv) Rent received by an Indian resident from Russian embassy in India.
Ans.

Items	Domestic Income	National Income
(i) Profits earned by a branch of foreign bank in India	Yes, it will be included as income(profits) is generated in domestic territory of India.	No, it will not include as profits will belong to foreign country. It is factor income paid abroad.
(ii) Profits earned by a company in India owned by non-residents.	Yes, it will be included as income (profits) is generated In domestic territory of India.	No, it will not be included, as profits will belong to foreign country. It is factor income from abroad.
(iii) Profits earned by a branch of State bank Of India in England.	No, it will not be included in domestic income as SBI is located outside the domestic territory of India.	Yes, it will be included in national income as this is factor income from abroad.
(iv) Rent received by an Indian resident from Russian embassy in India.	No, it will not be included in the domestic income as Russian Embassy is not a part of domestic territory of India.	Yes, it will be included as it is facto income from abroad.

Q18. What is the problem of double counting? How can it be avoided?
Ans. Problem of double counting refers to adding the value of one output more than once while estimating National Income.
Problem: Due to this the National Income is over estimated.
Methods of avoiding:
This can be avoided by two methods
(i) Final Output Method
- In this method, the value of final output only is included
- The value of intermediate cost is not included

(ii) Value Added Method:
- In this method the value added in various stages of production are taken in to account while estimating National Income instead of adding value of output in each stage
- The value of the final, output is equal to the sum of the value added in various stages of production

Value of Final Output = Σ Value Added
Q19. Define Compensation of Employees. State its Components.
Ans. Compensation of employees is defined as: the total remuneration in cash or in kind, payable by an enterprise to an employee in return for work done by the latter during the accounting period.

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The main components of compensation of employees are
(a) Wages and salaries- (i) in cash (ii) in kind
(b) Social security contributions by the employers.

Q20. Explain the precautions to be taken while estimating National Income through Value Added Method.

Ans. There are a large number of conceptual and statistical problems that arise in estimating national income of a country. To minimize error, it is necessary that certain precautions are taken in advance. Some of the precautions while estimating National Income through Value Added
Methods are as follows.

(a) Avoid double counting:

Value added equals value of output less intermediate cost. There is a possibility that instead of counting 'value added' one may count value of output. We can verify by taking some imaginary numerical examples that counting only values of output will lead to counting the same output more than once. This will lead to overestimation of national income. There are two alternatives' ways of avoiding double counting:
(i) Count only value added and
(ii) Count only the value of final products.

(b) Do not include sale of second-hand goods.

Sale of the used goods is not a production activity. The good should not be treated as fresh production, and therefore doesn't qualify for inclusion in national income.

(c) Self-consumed output must be included.

Output produced but retained for self-consumption, rather than selling in market, is output and must be included in estimates. Services of owner-occupied buildings, farmer consuming its own produce, etc are some examples.

Q21. If in 2021-22 the real GDP of India is RS 1000 and price index (with base year=100) is Rs 120, Calculate nominal GDP.

Ans. $Real\ GDP = Nominal\ GDP/Price\ Index$ x 100
$Nominal\ GDP$ = 1000 X 120/100 = 1200

Q22. Write down the steps of calculating National Income by Value Added method.

Ans. Steps for calculating National Income:
Value Added Method:
Step-1: Identify various sectors of the economy as Primary, secondary and tertiary
Step-2: Calculate GVA_{MP} in all sectors by
GVA_{MP} = Sales + Change in Stock - Intermediate cost
Step-3: Subtract the value of depreciation from GVA_{MP} and find NVA_{MP}
$NVA_{MP} = GVA_{MP}$ - Depreciation
Step-4: Add the value of NFIA with NVA_{MP} and get NNP_{MP}
$NNP_{MP} = NVA_{MP}$ + NFIA
Step-5: Subtract the value of Net Indirect Taxes from NNP_{MP} and get NNP_{FC} or the National Income
National Income or $NNP_{FC} = NNP_{MP}$ - NIT
Step-6: Add the National income of all sectors and find the National Income of the economy.

Q23. Giving reasons explain the treatment assigned to the following while estimating National Income of India.
(i) Interest paid by banks on deposits by individuals.
(ii) Payment of interest by a firm to a bank
(iii) Payment of interest by an individual to a bank
(iv) National debt interest
(v) Expenditure on free services provided by government
(vi) Payment of interest by a government firm
(vii) Pension paid after retirement

Ans. (i) It will be included while estimating the National Income of India because bank is a productive unit.
(ii) It will be included while estimating the National Income of India because Firm is a productive unit and it has taken loan for production purposes
(iii) It will not be included while estimating the National Income of India because Individual has taken loan for consumption purposes

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(iv) It will not be included while estimating the National Income of India because it the debt on the loan which government took for its consumption expenditure.
(v) It will be included while estimating the National Income of India because it is a part of the Government final consumption expenditure
(vi) It will be included while estimating the National Income of India because Government Firm is a productive unit and it has taken loan for production purposes
(vii) It will be included while estimating the National Income of India because it is a part of compensation of employees.

Q24. In a single day Raju, the construction worker, collects 500 from construction activities; over this day, his equipment depreciates in value by ₹50. Of the remaining ₹ 450, Raju pays sales tax worth ₹30, takes home ₹ 200 and retains ₹220 for improvement and buying of new equipment. He further pays ₹20 as income tax from his income. Based on this in formation, complete Raju's contribution to the following measures of income: (i) Gross Domestic Product at market price, (ii) NNP at market price, (iii) NNP at factor cost.

Ans. (i) GDP_{MP} = ₹500 (Raju's contribution to GDP)
(ii) NNP_{MP} = GDP_{MP} - Depreciation
= ₹500- ₹50
= ₹450 (Raju's contribution to NNP_{MP})
(iii) NNP_{FC} = NNP_{MP}- Net indirect taxes
= ₹450- ₹30
= ₹420 (Raju's contribution to NNP_{FC})

Q25. Is it necessary to deduct Intermediate consumption from the value output? What happen if not deducted? Illustrate with proper example. Also, suggest measures to avoid this problem.

Ans. Yes. If not deducted double counting problem may arise. This leads to overestimation of the value of goods and services produced. Thus, the importance of avoiding, double counting lies in avoiding overestimating the value of domestic product.
For example, a farmer produces one ton of wheat and sells it for Rs 400 in the market to a flour mill. The flour mill sells it for Rs 600 to the baker. The baker sells to the bread shopkeeper for Rs 800. The shopkeeper sells the entire bread to the final consumers for Rs 900. Thus, Value of output=400+600+800+900 = 2700
Infect, the value of the wheat is counted four times. To avoid the problem of double counting two methods are used:
(a) Final output Method: According to this method, the value of intermediate goods is not considered. Only the value of final goods and services is considered. In the above example, the value of final goods i.e., Bread is Rs 900.
(b) Value added method: Another method to avoid the problem of double counting is to estimate the total value added at each stage of production. In the above example, the value added at each stage of production is 400+200+200+100=900.

MONEY AND BANKING

Q1. Bring out the role of Central Bank as the controller of money supply or credit using Bank rate.

Ans. The central bank will hike the bank rate if it wants to regulate lending. Commercial bank will increase rate of interest as a result of this. Borrowing will be expensive. It will reduce money supply. Likewise, a decrease in the bank rate significantly decreases money market lending rates, which in turn stimulates commercial and industrial activity, requiring more credit from banks. As a result, the volume of bank credit will increase.

Q2. What is Legal Reserve Ratio? Explain its components.

Ans. 1. Legal Reserve Ratio: It is the minimum ratio of deposits legally required to be kept by the commercial banks with themselves and with the central bank.
2. Its components are:
(a) Cash Reserve Ratio: It refers to the minimum percentage of a bank' s total deposits, which it is required to keep with the central bank.
(b) Statutory Liquidity Ratio: It refers to minimum percentage of net total demand and time liabilities, which commercial banks are required to maintain with themselves.

Q3. Suppose all the customers of a commercial bank demand for their deposits at the same time then how does central bank help to commercial bank in this situation?

Ans. 1. As banker to the banks, the central bank acts as the lender of the last resort.

2. In other words, in case the commercial banks fail to meet their financial requirements from other sources, they can, as a last resort, approach to the central bank for loans and advances.

3. The central bank assists such banks through discounting of approved securities and bills of exchange.

Q4. Money acts as a yardstick of standard measure of value to which all other things can be compared. Discuss it.

Ans. Money serves as a measure of value in terms of unit of account. Measurement of value was the main difficulty of the barter system. Introduction of money has removed this difficulty. It acts as a yardstick of standard measure of value to which all other things can be compared. Money measures the value of everything or the prices of all goods and services can be expressed in terms of money.

Q5. Explain the role of the Reserve Bank of India as the "lender of last resort"

Ans. As banker to the banks, the central bank acts as the lender of the last resort. In other words, in case the commercial banks fail to meet their financial requirements from other sources, they can, as a last resort, approach to the central bank for loans and advances. The central bank assists such banks through discounting of approved securities and bills of exchange.

Q6. Give meaning of money supply. State its components.

Ans. It refers to stock of money available with the public/people at a point of time.

Measures of Money Supply

M = C + DD + OD

Q7. How will Reverse Repo rate control money supply at the time of inflation in an economy?

Ans. Reverse Repo rate is the rate at which commercial bank park their excess fund with central bank. At the time of inflation, there is a need to reduce money supply in the economy. If central bank increases Reverse Repo rate, commercial bank will park more money with central bank. As a result, they will have less amount to issue loan to general public & hence money supply will be reduced.

Q8. Explain the "Bank of Issue Function" of the central Bank.

Ans. 1. The central bank has the sole monopoly to issue currency notes. Commercial banks cannot issue currency notes. Currency notes issued by the central bank are the legal tender money.

2.Legal tender money is one, which every individual is bound to accept by law in exchange for goods and services and in the discharge of debts.

3.Central bank has an issue department, which is solely responsible for the issue of notes.

4.However, the monopoly of central bank to issue the currency notes may be partial in certain countries.

5.For example, in India, one-rupee notes and all coins are issued by the government and all other notes are issued by the Reserve Bank of India.

Q9. Which bank is known as Government's Bank? Describe the function of government bank.

Ans. As a banker to the government, the central bank performs same functions as performed by the commercial banks to their customers.

1. It receives deposits from the government and collects cheques and drafts deposited in the government account.
2. It provides cash to the government as resumed for payment of salaries and wages to their staff and other cash disbursements.
3. It makes payments on behalf of the government.
4. It also advances short term loans to the government.
5. It supplies foreign exchange to the government for repaying external debt or making other payments.

Q10. Explain the "banker's bank' function of a central bank.

Ans. Central bank acts as the banker to the banks in three ways:

1. Custodian of the cash reserves of the commercial banks: As a custodian of the cash reserves of the commercial banks, the central bank maintains the cash reserves of the commercial banks. Every commercial bank has to keep a certain percent of its cash reserves with the central bank by law.

2. As Lender of the Last Resort: (i) As banker to the banks, the central bank acts as the lender of the last resort. (ii) In other words, in case the commercial banks fail to meet their financial requirements from other sources, they can, as a last resort, approach to the central bank for loans and advances. (iii) The central bank assists such banks through discounting of approved securities and bills of exchange.

3. As Clearing Agent: (i) As the custodian of the cash reserves of the commercial banks, the central bank acts as the clearing house for these banks. (ii) Since all banks have their accounts with the central bank, the central bank can easily

Q11. How does a central bank control the availability of credit by open market operation.

Ans. Open market operation is the policy of the central monetary authority to sell and buy the government securities in the market. RBI purchases government securities from commercial banks and general public in a bid to increase the stock of high-powered money in the economy. Similarly, RBI sells government securities to commercial banks and general public in a bid to decrease the stock of high-powered money in the economy.

Q12. Distinguish between central bank and commercial banks.

Ans.

Central Bank	Commercial Banks
(1) Central bank functions as the apex bank of the country.	(1) Commercial banks function according to the rules and regulations stipulated by the central bank.
(2) The central bank designs and controls all instruments of monetary policy of the country.	(2) Commercial banks only execute the monetary policy as directed by the central bank.
(3) Central bank is the sole authority of note issuing.	(3) Commercial banks contribute to the flow of money only by way of credit creation.
(4) Central bank does not deal directly with the general public. It does not accept deposits or advance loans.	(4) Commercial banks deal directly with the general public by accepting deposits and advancing loans.

Q13. (i) State any two components of M1 measure of Money Supply.

(ii) Elaborate and two instruments of credit control, as exercised by the Reserve Bank of India.

Ans. (i). The two components of M, measure of money supply are:

(1) Currency held by public

(2) Net demand deposit held by the commercial banks.

(ii). The two instruments of credit control, as exercised by the Reserve Bank of India are:

(1) Open market operations refer to the buying and selling of government securities by the central bank. By selling government securities. in the open market and the public buying them, money flows out of commercial banks into the central bank. This will reduce the demand deposits with the commercial banks and thereby lower their capacity to create credit.

Thus, borrowing from the banks becomes less and money supply is reduced. So, credit creation is controlled.

(2) Repo rate is the rate of interest at which the central bank lends money to the commercial banks for a short period. It can be helpful in controlling credit creation. A rise in the repo rate would discourage the commercial banks to build their cash reserves for the creation of credit through loans. Rise in repo rate makes borrowings by commercial banks costlier. So, commercial banks are forced to raise their lending rates. Since, borrowings become costly for people, they borrow less. So, banks create less credit.

Q14. Explain the functions of the central bank.

Ans. The principal functions of the central bank are as follows:

(1). Issuing of Notes or Currency Authority: The central bank is the sole note-issuing authority in the country. Large number of central banks have divided their functions into two parts banking department and issue department. It is the issue department that is responsible for note-issuing.

(2). Banker to the Government: Central bank acts as a banker, agent and financial advisor to the government. As a banker to the government, it keeps the accounts of all government bank and manages government treasuries. The loans are given to the government without any interest for short-term. It also transfers government funds. It also buys and sells securities, treasury bills on behalf of the government. Being the apex bank of the country, it advises the government from time to time on economic, financial and monetary matters.

(3). Banker's Bank: It performs the function of a banker to all other banks in the country Central bank keeps part of the cash balances of all commercial banks as deposit with a vier to meeting liabilities of these banks in times of crisis.

(4). Lender of the Last Resort: The central bank also acts as lender of the last resort for the other banks of the country. It means that if a commercial bank fails to get financial accommodation from anywhere, it approaches the central bank as a last resort. Central bank advances loan to such a bank against approved securities.

(5). Custodian of the Nation's Reserves of Foreign Exchange: Central bank also functions as the custodian of nation's foreign exchange reserves. These reserves are regulated:

(a) to stabilise exchange rate in the international money market, and (b) to promote exports.

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(6). Clearing House Function: Central bank also performs the function of a clearing house. Every bank keeps cash reserves with the central bank. The claims of banks against one another can be easily and conveniently settled by simple transfers from and to their account.

(7). Control of Credit: The most important function of the central bank is to control the credit activities of the commercial banks. Credit control refers to the increase or decrease in the volume of credit money in accordance with the monetary requirement of the country. Central bank seeks to contain credit money within reasonable limits.

Q15. How does money solve the problem of double coincidence of wants? Explain with an example.

Ans. Money acts as an intermediary in the exchange transactions of goods and services. It removes the difficulty of double coincidence of want by separating the act of sell and purchase.

For example, if a vegetable grocer wants a cart but the cart manufacturer wants clothes, and not vegetables, then the grocer can use money to buy a cart. Similarly, the cart manufacturer can then use the money to buy clothes. Thus, everyone's wants can be satisfied as money acts as a medium of exchange.

Money is also called a bearer of options or generalised purchasing power. This indicates the freedom of choice that the use of money offers. This function can only be performed properly if the value of money remains constant.

Q16. (i) What is meant by Cash Reserve Ratio? How does it increase the money Supply in the economy?
(ii) What is meant by Open Market Operation? How does it reduce the money supply in the economy?

Ans. (i) Cash Reserve Ratio:

(1) It refers to the minimum percentage of a bank' s total deposits, which it is required to keep with the central bank. Commercial banks have to keep with the central bank a certain percentage of their deposits in the form of cash reserves as a matter of law.

(2) For example, if the minimum reserve ratio is 10% and total deposits of a certain bank is ?100 crore, it will have to keep Rs 10 crore with the central bank.

(3) To increase Money supply in an economy, cash reserve ratio (CRR) falls to 5 per cent, the bank will have to keep Rs 5 crore with the central bank, which will increase the cash resources of commercial bank and increasing credit availability in the economy, which will increase the money supply in an economy.

(ii) Open Market Operation:

(1) It consists of buying and selling of government securities and bonds in the open market by central bank.

(2) To reduce Money Supply in an economy, central bank sells government securities and bonds to commercial bank. With the sale of these securities, the power of commercial bank of giving loans decreases, which will reduce the money supply in an economy.

Q17. Define money and explain the functions of money.

Ans. Money: Money may be defined as anything which is generally acceptable as a medium of exchange and at the same time acts as a measure, store of value and standard of deferred payment.

Primary Function

(i) Medium of exchange: It means that money can be used to make payments for all the transactions of goods and services. A buyer can buy goods through money and a seller can sell goods for money. It is an essential function of money.

(ii) Measure of value: Money serves as a measure of value. The value of all goods and services is expressed in terms of money.

Secondary Function

(i) Standard of deferred payments: It means that money acts as a 'standard' for making future payments. It has made deferred payments much easier than before.

Example: When we borrow money from somebody, we have to return both the principal as well as the interest amount in the future.

(ii) Store of value: A store of value implies a store of wealth. Money can be easily stored for future use. It is the most convenient and economical means to store earnings and wealth.

(iii) Transfer of value: Money also serves for transfer of value. It facilitates buying and selling of goods not only in the domestic country but also in other parts of the world.

Q18. What role does it play in determining the credit creation power of the banking system? Use a numerical illustration to explain.

Ans. Credit creation is the most important functions of Commercial bank. The capacity of banks to create money or credit depends on: (a) Amount of primary deposits (b) Legal reserve ratio (LRR).

To understand this process, we have to make two assumptions:

1. The entire commercial banking system is one unit and is termed as bank.

2. All the payments or receipts are made through bank.
Let us understand the process of credit creation with the following example.
Suppose there is an initial deposit of Rs. 1000 and L.R.R. is 20% i.e., the banks have to keep Rs. 200 and lend Rs. 800/-. All the transactions are routed through banks.

	Deposits (in Rs.)	Loans (in Rs.)	Cash Reserve ratio (20%)
Initial deposit	1000	800	200
First round	800	640	160
Second round	640	520	128
-------	-------	------	------
Total	5000	4000	1000

The deposit creation comes to end when the total cash reserves become equal to the initial deposit.
Money Multiplier = 1/LRR
Credit creation = Initial deposit X 1/LRR. Credit creation = 1000 x 1/20%
1000 x 100/20 = Rs 5000
In this way, commercial banks create credit many more times than their cash reserves and contributes to increase money supply in the economy.

DETERMINATION OF INCOME AND EMPLOYMENT

Q1. (i) Explain any three components of aggregate demands?
(ii) Distinguish between voluntary unemployment and involuntary unemployment. What is the significance of this distinction?
Ans. (i) AD = C + I + G + X − M
(ii)

Voluntary Unemployment	Involuntary Unemployment
1. Voluntary unemployment refers to that part of the population which prefers not to work even though suitable work is available for them	1. Involuntary unemployment refers to that part of the labour force of the country, which is able to work and prefers to work, but it is out of work, on account of no fault or wish of its own.
2. Voluntary unemployment is not taken into account for determining the labour force of the country	2. Involuntary unemployed are a part of the labour force of the country.

Magnitude of unemployment in the country refers to involuntary unemployment only and the government's objective is to remove this kind of unemployment.
Q2. "Economists are generally concerned about the rising marginal Propensity to save (MPS) in an economy" Explain why?
Ans. Economists are justified in being concerned about the rising MPS in the economy, as rising MPS would be at the cost of falling MPC. This is a cost of grave concern as the proportion of additional income going to consumption falls. Thus, fall in consumption will have an adverse impact on the economy, culminating in a fall in the equilibrium level of income in the economy.
Q3. Justify the following statement, with valid reason. "Ex-ante Aggregate Demand is always equal to Ex-ante Aggregate Supply."
Ans. Ex-ante Aggregate Demand is equal to Ex-ante Aggregate Supply only when the economy is in equilibrium. At under-employment equilibrium level, when Ex-ante Aggregate Demand falls short of Ex-ante Aggregate Supply, it will lead to accumulation of unplanned inventories. Hence the producer will reduce employment leading to reduction in output and income till the two forces becomes equal to each other and vice versa.
Q4. Difference between Autonomous investment and Induced Investment.
Ans.

Autonomous investment	Induced Investment
(i) It refers to the investment expenditure which is incurred by the Government with the motive to promote the level of growth and development. (ii) Independent with level of income.	(i) It refers to the investment expenditure which is incurred by the enterprises with the motive to make greater investment and receive higher return. (ii) Dependent with level of income.

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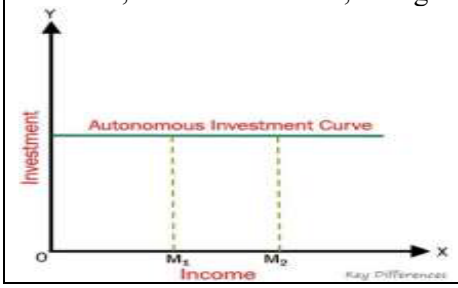
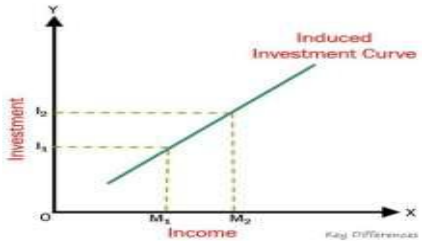
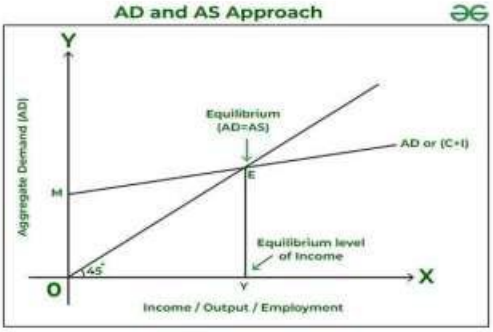
(iii) It is influenced by the change in population structure, natural calamities, change in technology etc. 	(iii) It is influenced by the level of income of an economy. Higher the income, greater is the Induced investment. 

Q5. Show with the help of a diagram, how aggregate demand and aggregate supply determine the equilibrium level of income.

Ans. Aggregate demand refers to the total expenditure on goods and services in an economy. Aggregate supply refers to the total production of goods and services in an economy.

The equilibrium level of income is determined at the point where AD=AS, this can be shown with the diagram below-



Q6. From the following data calculate investment expenditure.

(a) MPS = 0.2

(b) Equilibrium level of income = Rs 22,500

(c) Autonomous consumption = Rs 500

Ans. Given,

Marginal Propensity to Save (MPS) = 0.2, Income (Y) = 22,500, and autonomous consumption = 500

We know that,

MPC = 1 - MPS = 1 - 0.2 = 0.8.

At equilibrium level,

Y = C + I

Therefore, 22,500 = 500 + (0.8) 22,500 + I

Or I = 22,500 - 500 - 18,000 = Rs.4,000

Hence, we have Investment Expenditure equal to Rs. 4000.

Q7. What is the difference between ex-ante and ex-post investment?

Ans. By planned (ex-ante) investment we mean the level of investment which the investors plan to invest at different levels of income and employment in the economy. Planned investment refers to the amount of planned or derived investment given by the investment demand function. However actual (ex-post) investment may differ from the planned investment when actual sales differ from the plan sales and the firms thus face unplanned addition or reduction in inventories.

Q8. (i) What is an investment multiplier or output multiplier? What can be its minimum value and why?

(ii) Is there a negative relationship between MPC and the investment multiplier? use a hypothetical example.

Ans. (i) Investment multiplier is defined as the ratio of change in income to change in investment.

k= change in income / change in investment minimum value of k will be 1 when minimum value of MPC is 0

K= 1/ 1-MPC = 1/1-0=1

The maximum value of K is infinity if MPC is 1 then K=1/1-MPC= 1/1-1=1/0 = infinity.

(ii) No, there is no negative relationship between MPC and the investment multiplier. The value of multiply is determined by MPC. It is directly related with MPC higher than will be K, lower the MPC smaller will be K

K=1/1-MPC

ex (i) if MPC is 0.5, K=2

ex (ii) if MPC is 0.75, K=4
it is clear from the above example higher the MPC higher the K and vice versa.
Q9. Explain what happens when the economy is not in equilibrium and saving exceeds investment? Use a hypothetical table. Does equilibrium level of income always indicate full employment in the economy? Explain.
Ans. The equilibrium level of income is determined at a point where saving and investment are equal, i.e. S=I. The given table illustrate the idea

INCOME(Y)	CONSUMPTION(C)	SAVING(S) (Y-C)	INVESTMENT(I)	
0	50	-50	100	S<I
100	100	0	100	S<I
200	150	50	100	S<I
300	200	100	100	S=I
400	250	150	100	S>I

The above table shows that the equilibrium level of income is Rs.300 crores and at this point S (100) =I (100).
When saving exceeds planned investment, it means that people are consuming less and thereby spending less. AS a result, aggregate demand is less than aggregate supply. This will lead to the accumulation of unintended inventories. to avoid further accumulation of inventories, producers will reduce production. Consequently, output, income and employment will be reduced till the employment level of income (300 crores) is reached where S=I.
The equilibrium level of income may not necessarily be at the full employment level, i.e., it is not necessary that there will always be full employment at the equilibrium level of income.
Q10. Given the aggregate consumption expenditure function C=100+0.75 Y (Where Y= national income and C= aggregate consumption expenditure) and autonomous investment expenditure(I)=Rs 1000 Crore, Calculate equilibrium level of Y?
Ans. We know that at the equilibrium national output(Y)
Y=C+I
=100+0.75Y+I
Y-0,75Y=100+1000
Y (1-0,75) =1100
Y=1100/(1-0,75)
Y= 1100/0,25 =Rs 4400.
Q11. (i) Distinguish between inflationary and deflationary gap.
(ii) Explain how deficient demand should be corrected using monetary policy.
Ans. (i)

Inflationary Gap	Deflationary Gap
1. It refers to the gap between aggregate demand and aggregate supply at full employment level. It is the excess of AD over AS.	1. It refers to the gap between aggregate supply and aggregate demand at full employment level. It is the excess of AS over AD.
2. This situation comes after full employment.	2. This situation comes before full employment.
3. It leads to inflationary situation in the economy.	3. It leads to deflationary situation in the economy.
4. Output and employment become constant even if AD rises.	4. Output & employment increase with increase in AD.

(ii) There are two broad instruments to correct deficient demand
1.Quantative instruments
- Decrease in Bank Rate
- Purchase of securities
- Decrease in LRR

2, Qualitative instruments
- Decrease in margin requirements
- Advice to encourage lending
- Withdraw credit rationing

Q12. If planned saving is less than planned investment, what changes will bring in economy in equilibrium?
Ans. AD = AS
C + I = C + S
I = C + S - C = S

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- When planned saving is less than planned investment, then national income will decrease.

When, investment > saving, then production will have to be increased to meet the excess demand. Consequently, national income will increase leading to rise in saving until saving becomes equal to investment. Equilibrium level of income is established because what the savers intend to save becomes equal to what the investors intend to invest.

Q13. Explain how is equilibrium level of income and employment established through AD and AS?

Ans. According to the Keynesian theory, the equilibrium level of income in an economy is determined at the intersection point of AD and AS curves.

Aggregate demand: Aggregate demand means the total demand for final goods in an economy.

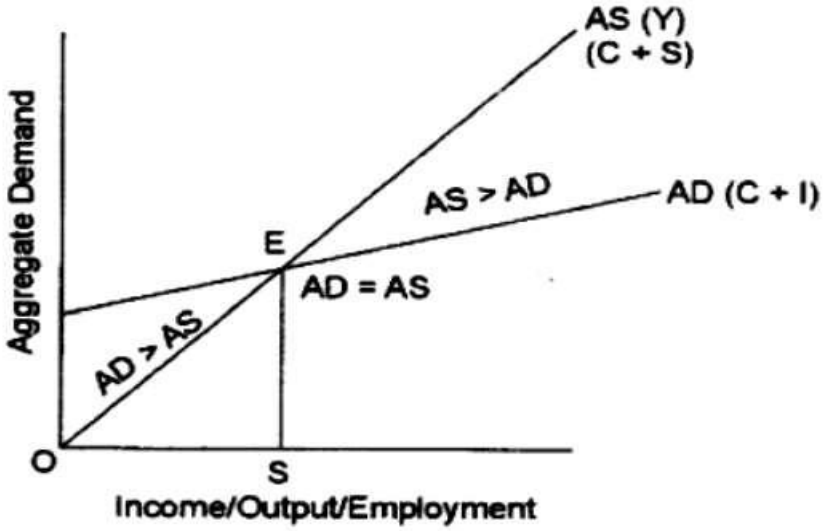
It is represented by C +I.

Aggregate supply: It is the value of the total quantity of final goods and services produced in the economic territory of a country.

It is a positively sloped 45° straight line curve starting from the origin.

Explanation by Table and diagram

Income	Consumption	Saving	Investment	AD(C+I)	AD(C+I)	Remarks
0	40	-40	40	80	0	AD>AS
100	120	-20	40	160	100	AD>AS
200	200	0	40	240	200	AD>AS
300	280	20	40	320	300	AD>AS
400	360	40	40	400	400	AD=AS
500	440	60	40	480	500	AD<AS
600	520	80	40	560	600	AD<AS



In the given figure AS represents Aggregate Supply Curve. It forms 45° angle, signifying' that each point on it expresses the equal value of income and receipts whereas AD represents Aggregate Demand. Both i. e., AD and AS intersect each other at the point which is known as the equilibrium point. Point E shows that in equilibrium.

As the **planned spending (AD) is more than planned output (AS)** this means consumers and firms together would be buying more goods than the firms are willing to produce. As a result, the planned inventory would fall below the desired level. Firms would be induced to increase production which will lead to an increase in the level of employment/output/income. The firms will keep on increasing production until AD = AS.

When AS > AD, under such a situation the economy will be operating beyond E. As the planned spending is less than planned output (AS) this means consumers and firms together would be buying fewer goods than the firms are willing to produce. As a result, the planned inventory would rise.

Firms would be induced to decrease production which will lead to decrease in the level of employment /output/income.

The firms will keep on decreasing production till AD = AS.

Q4. Explain the equilibrium level of income with the help of saving and investment curve.

Ans. According to this approach of equilibrium, the equilibrium is reached only when Investment(I) equals Savings(S) because at this level there is no tendency for income and output to change.

Explanation by Table and diagram:

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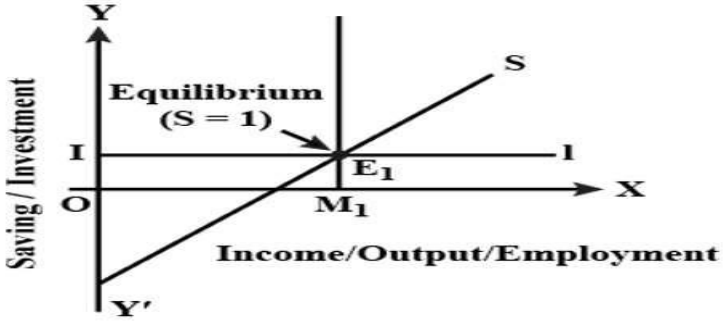
Income	Consumption	Saving	Investment	Remarks
0	40	-40	40	S < I
100	120	-20	40	S < I
200	200	0	40	S < I
300	280	20	40	S < I
400	360	40	40	S = I
500	440	60	40	S > I
600	520	80	40	S > I



In the diagram the equilibrium is at E where savings intersects investment curve at this point, I=S.
When **S is more than I(S>I)**, then the planned inventory would fall below the desired level. To bring back the Inventory at the desired level, the producers expand the output More output means more income. Rise in output means rise in I and rise in income means rise in S. Both continue to rise till they reach E, S=I.
When **S is less than I(S<I),** then the planned inventory rises above the desired level. To clear the unwanted increase in inventory, firms plan to reduce the output till S becomes equal to I.
So, equilibrium takes place only at point E, when S=I.

Q15. Explain with the numerical example how an increase in investment in an economy affects its level of income.

Ans. The concept of Investment Multiplier is an important contribution of Prof. J.M.Keynes. The working of multiplier is based on the fact that, "one person's expenditure is another person's income". When an additional investment is made, then income increases many times more than the increase in investment.

Explanation:

Suppose initial investment is 1000 and MPC is 0.80

Round	Increase in Investment	Increase in Income (ΔY)	Increase in consumption (ΔC)	Increase in saving (Δ*S*)
1	1000	1000	800	200
2		800	640	160
3		640	512	128
4		512	….	….
5		….	….	….
6		….	….	….
Total		**5000**	**4000**	**1000**

In the multiplier process, increase in income in the first round is always equal to additional investment. So, Increase in income in the first round=Rs.1,000=Rs.1,000 crores.
The saving off Rs. 200 crores indicates that increase in consumption will be Rs. 800 crores in the first round.
Additional consumption of Rs. 800 crores out of an additional income of Rs. 1,000 indicates that 80% of income is spent, i.e. MPC = 0.8. The values of second and third round are calculated on the basis of this data.
This multiplier process will go on and the consumption expenditure in every round will be 0.80 times of the additional income received from the previous line.
Thus, an initial investment of 1000 leads to a total increase of 5000 in the income.
As a result, Multiplier (K)= (ΔY)/ (ΔI) = 5000/1000=5

Q16. Difference between full employment and under employment equilibrium.

Ans. Full employment equilibrium: It refers to the situation where AD=AS and all those who are able to work and willing to work get work. It corresponds to the highest possible level of output in the economy under the circumstances.

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Unemployment equilibrium: It refers to the situation where AD=AS but all those who are able to work and willing to work do not get work. It does not correspond to the highest possible level of output in the economy.

Q17. Discuss the working of the adjustment mechanism in the following situations:

1. AD is greater than AS.
2. Ex-ante investments are lesser than ex-ante savings.

Ans. 1. If aggregate demand is greater than aggregate supply, i.e. AD > AS, flow of goods and services in the economy tends to be less than their demand. The existing stocks of the producers would be sold out and the producers would suffer the loss of unfulfilled demand. To rebuild the desired stock and avoid the loss of unfulfilled demand, the producers would plan the greater production. AS would increase to become equal to AD. This is how AS converges with AD.

2. In case ex-ante investments are less than ex-ante savings, i.e. I < S, it implies a situation when a fall in expenditure through 'S' is more than the rise in expenditure through 'I'. accordingly, aggregate expenditure in the economy would be less than what is needed to buy the planned output. Some output would remain unsold, and producers will have undesired stocks. To clear their stocks, the producers would now plan lesser output. Lesser output would mean lesser income. Lesser income would mean lesser saving. The process will continue till S = I. This is how S converges with I.

Q18. What is fiscal policy? How does the following affect AD in an economy:

(i)Changes in government expenditure

(ii) Changes in tax rates.

Ans. Fiscal Policy is the policy concerning taxation and expenditure of the government.

Fiscal Policy and Excess Demand: Excess demand refers to a situation when AD>AS at full employment level. Following fiscal policy measures can be used to correct the situation of excess demand:

(i) Increase in taxes: The government should impose new taxes and raise the rate of existing taxes. It will reduce the disposable income which further leads to a fall in both investment and consumption expenditure and consequently AD is reduced and thus the problem of excess demand can be solved.

(ii) Reduction in government's expenditure: The government should reduce its expenditure on non-essential and non-developmental items. Transfer payments such as old age pensions, subsidies etc. should be reduced. Reduction in government' s expenditure will help in reducing aggregate demand and thus the problem of excess demand can be solved.

Fiscal Policy and Deficient Demand: Deficient demand refers to a situation in when AD<AS at full employment level. Following fiscal measures can be used to correct the situation of deficient demand:

(i) Decrease in taxes: The government should reduce the taxes to increase the purchasing power of the people. The government should also cut the taxes particularly the corporate taxes and the income taxes to encourage private investment. If the tax rate is reduced, it will increase the level of aggregate demand and thus will remove the problem of deficient demand.

(ii) Increase in government expenditure: The government should increase its expenditure on public works programmes, public health and education should make large investments. If the governments expenditure is increased, it will increase the level of aggregate demand and thus the problem of deficient demand can be solved.

Q19. Programmes like 'Make in India' or 'Start Up'' initiated by the Indian Govt can help correct the problem of deficient demand. Defend or refute the statement with valid reasons.

Ans. I would like to defend the given statement.

(i) The programmes like Make in India or Start Ups will induce domestic as well as foreign investors for new investment.

(ii) It may increase capital flow in the market.

It will create additional purchasing power within the economy.

Q20. "Excess demand creates greater opportunities of employment in the economy". Defend or refute the given statement with valid explanations.

Ans. The given statement may be refuted.

(i) In excess demand situation, full employment is already reached.

(ii) No further employment is possible as all existing resources are fully employed.

Efficiency of resources employed can't be increased.

Q21. What is the effect of excess demand on output, employment and prices?

Ans. (i) Effect on Output: In the situation of excess demand, output does not increase. The economy is already operating at full employment.

(ii) Effect on Employment: Employment will not increase the economy has already achieved full employment.

(iii) Effect on Prices: Excess demand only generates pressure of demand on the existing flow of goods and services in the economy. Accordingly, prices tend to rise.

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Q22. How will the flow of funds in the money market be impacted, if CRR is gradually lowered the central bank?

Ans. CRR makes it mandatory for the commercial banks to keep some cash reserves (as a percentage of their deposits) with the central bank.

If CRR is gradually lowered, these cash reserves can be productively utilised by the commercial banks. Cash reserves can add to the stock of liquid assets of the banks, and accordingly, enhance their capacity to create credit (on the basis of the existing SLR). Accordingly, flow of funds in the money market will increase.

Q23. Price of crude oil has drastically fallen in the international oil market. Can you identify its negative impact on aggregate demand for the goods produced in India?

Ans. A drastic fall in the price of crude oil in the international market would lead to an equally drastic fall in the level of income in the oil-producing economies. To the extent India depends on these economies for its exports, it would mean a fall in 'export' component of aggregate demand. So that, aggregate demand (for the goods produced in India) is expected to fall.

Q24. Explain the meaning and implications of inflationary gap.

Ans. The inflationary gap is the amount by which the actual aggregate demand exceeds the level of aggregate demand required to establish the full-employment equilibrium.

Implications:

- The inflationary gap is a measure of the amount of the excess of aggregate demand.
- The inflationary gap is so called because it sets in motion forces that will cause inflation or a rise in the price level.

The effect of this will be to create demand pull inflation (an aggregate demand induced rise in the price level).

Q25. Critically examine the effectiveness of quantitative and qualitative monetary measures to control the situation of deficient demand.

Ans. In correcting the deficient demand situation, quantitative credit control measures and qualitative credit control measures separately or jointly are very much effective.

Under quantitative credit control measures the followings are applied:

(i) To decrease the cash reserve ratio.

(ii) To decrease the bank rate.

(iii) To purchase Govt securities under open market operation.

Under qualitative credit control measures, the followings are applied during deficient demand situation:

(i) Selective credit control

(ii) Decrease in Margin requirements

(iii) Relaxation in credit quotas

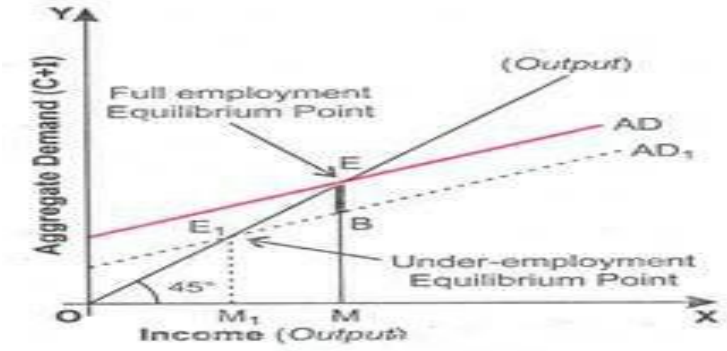
Q26. Explain the situation of Full Employment Equilibrium and Under-employment equilibrium.

Ans. (i) Full Employment Equilibrium:

When equilibrium between AD and AS takes place at full employment of resources, it is called full employment equilibrium. There are no unused resources. There is no involuntary unemployment.

The situation of full employment equilibrium has been illustrated in Fig. AS is expressed by 45° line whereas the line AD represents aggregate demand

Both the curves intersect at point E which yields full employment equilibrium.



(ii) Under-employment equilibrium:

Under-employment equilibrium means equality between aggregate demand and 'aggregate supply but at less than full employment'. In other words, in producing the output, economy's some resources are underemployed.

OM_1 is the under-employment equilibrium level of income which is less than OM full employment equilibrium level of income. Under-employment equilibrium gives rise to deflationary gap shown as EB in the Fig.

Additional investment expenditure equal to the level of EB (i.e., deflationary gap) is required to reach full employment equilibrium.

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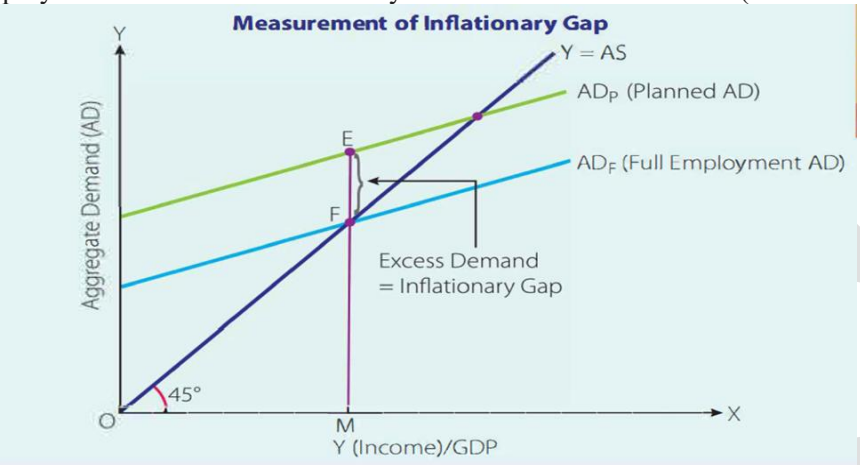
Q27. Explain the Excess Demand or Inflationary Gap and Deficient Demand or Deflationary Gap. Use diagrams. Also, Explain the causes of this situation and how to control or correct these situations.

Ans. Excess Demand or Inflationary Gap:

Excess Demand: When in an economy, aggregate demand exceeds "aggregate supply (AD>AS) at full employment level", the demand is said to be an excess demand.

Inflationary gap is the gap showing excess of current aggregate demand over 'aggregate supply at the level of full employment'. It is called inflationary because it leads to inflation (continuous rise in prices.



Reasons or causes for excess demand:

(a) Increase in household consumption demand due to rise in propensity to consume.

(b) Increase in private investment demand because of rise in credit facilities.

(c) Increase in public (government) expenditure.

(d) Increase in export demand.

(e) Increase in money supply or increase in disposable income.

Measures to control the excess demand:

We can control the excess demand with the help of the following policy:

(A) Monetary Policy (B) Fiscal Policy

Let us discuss it in detail:

(A) Monetary Policy: Monetary policy is the policy of the central bank of a country to control money supply and availability of credit in the economy. The central bank can take the following steps:

Quantitative Instruments or General Tools of Monetary Policy: These are the instruments of monetary policy that affect overall supply of money/credit in the economy. These instruments do not direct or restrict the flow of credit to some specific sectors of the economy. They are as under

Bank Rate or Discount Rate (Increase in Bank Rate): Bank rate is the rate of interest at which central bank lends to commercial banks without any collateral (security for purpose of loan). The thing, which has to be remembered, is that central bank lends to commercial banks and not to general public.

In a situation of excess demand leading to inflation Central bank raises bank rate that discourages commercial banks in borrowing from central bank as it will increase the cost of borrowing of commercial bank.

Repo Rate (Increase in Repo Rate): Repo rate is the rate at which commercial banks borrow money from the central bank for short period by selling their financial securities to the central bank.

In a situation of excess demand leading to inflation, Central bank raises repo rate that discourages commercial banks in borrowing from central bank as it will increase the cost of borrowing of commercial bank. It forces the commercial banks to increase their lending rates, which discourages borrowers from taking loans, which discourages investment. Again, high rate of interest induces households to increase their savings by restricting expenditure on consumption.

Open Market Operations (OMO) (Sale of securities): It consists of buying and selling of government securities and bonds in the open market by central bank. In a situation of excess demand leading to inflation, central bank sells government securities and bonds to commercial bank. With the sale of these securities, the power of commercial bank of giving loans decreases, which will control excess demand.

Cash Reserve Ratio (Increase in CRR): It refers to the minimum percentage of a bank's total deposits, which is required to keep with the central bank. Commercial banks have to keep with the central bank a certain percentage of their deposits in the form of cash reserves as a matter of law.

In a situation of excess demand leading to inflation, cash reserve ratio (CRR) is raised to 20 per cent, the bank will have to keep Rs.20 crore with the central bank, which will reduce the cash resources of commercial bank and reducing credit availability in the economy, which will control excess demand.

Statutory Liquidity Ratio (Increase SLR): It refers to minimum percentage of net total demand and time liabilities, which commercial banks are required to maintain with themselves.

In a situation of excess demand leading to inflation, the central bank increases statutory liquidity ratio (SLR), which will reduce the cash resources of commercial bank and reducing credit availability in the economy.

Qualitative Instruments or Selective Tools of Monetary Policy: These instruments are used to regulate the direction of credit. They are as under:

(i) Imposing margin requirement on secured loans (Increase):

(ii) Moral Suasion: Advise to Discourage Lending

(iii) Selective Credit Control (SCC) [Introduce Credit Rationing]:

(B) Fiscal Policy: A general government can take the following steps:

(a) Revenue Policy (Increase Taxes): Revenue policy is expressed in terms of taxes.

During inflation the government impose higher amount of taxes causing the decrease in purchasing power of the people. It is so because to control excess demand we have to reduce the amount of liquidity from the economy.

(b) Expenditure Policy (Reduces Expenditure): Government has to invest huge amount on public works like roads, buildings, irrigation works, etc. During inflation, government should curtail (reduce) its expenditure on public works like roads, buildings, irrigation works thereby reducing the money income of the people and their demand for goods and services.

(c) Increase in Public Borrowing/Public Debt: This measure means that government should raise loans from public and hence borrowing decreases the purchasing power of people by leaving them with lesser amount of money.

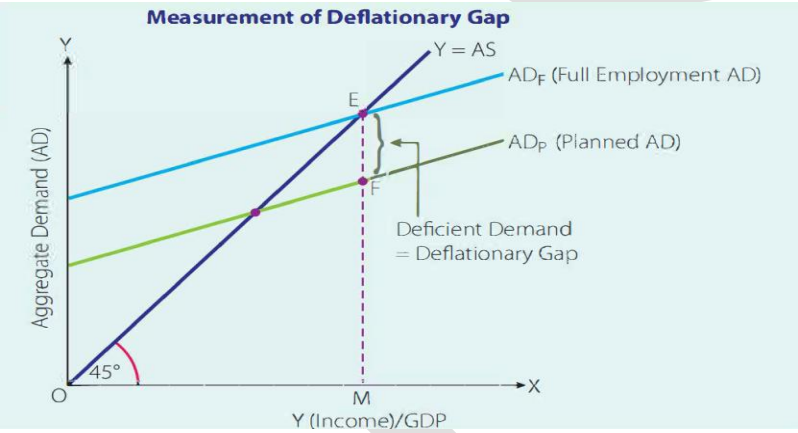
So, government should resort to more public borrowing during excessive demand.

Deficient Demand or Deflationary Gap:

Deficient Demand: When in an economy, aggregate demand falls short of aggregate supply (AD<AS) at full employment level, the demand is said to be a deficient demand.

Deflationary gap is the gap showing Demand deficient of current aggregate demand over 'aggregate supply at the level of full employment'. It is called deflationary because it leads to deflation (continuous fall in prices).

Let us suppose that an imaginary economy by employing all its available resources can produce 10,000 quintals of rice. If aggregate demand of rice is, say 8,000 quintals, this demand will be called a deficient demand and the gap of 2000 quintals will be called as deflationary gap. Clearly here equilibrium between AD and AS is at a point less than level of full employment. Keynes called it an under-employment equilibrium.



Reasons or causes for deficient demand:

(a) Decrease in household consumption demand due to fall in propensity to consume.

(b) Decrease in private investment demand because of fall in credit facilities.

(c) Decrease in public (government) expenditure.

(d) Decrease in export demand.

(e) Decrease in money supply or decrease in disposable income.

Measures to Control the deficient demand:

We can control the deficient demand with the help of the following policies:

(A) Monetary policy (B) Fiscal policy

Let us discuss it in detail:

(A) Monetary Policy: Monetary policy is the policy of the central bank of a country of controlling money supply and availability of credit in the economy. The central bank takes the following steps:

Quantitative Instruments or General Tools of Monetary Policy: These are the instruments of monetary policy that affect overall supply of money/credit in the economy. These instruments do not direct or restrict the flow of credit to some specific sectors of the economy. They are as under:

Bank Rate or Discount Rate (Decrease in Bank Rate): Decrease in bank rate makes commercial bank to decrease their lending rates, which encourages borrowers from taking loans, which encourages investment.

Again low rate of interest induces households to decrease their savings by increasing expenditure on consumption.
Repo Rate (Decrease Repo Rate): In a situation of deficient demand leading to deflation, Central bank decreases Repo rate that encourages commercial banks in borrowing from central bank as it will decrease the cost of borrowing of commercial bank. Decrease in Repo rate makes commercial banks to decrease their lending rates, which encourages borrowers from taking loans, which encourages investment. Again, low rate of interest induces households to decrease their savings by increasing expenditure on consumption.
Open Market Operation (Purchase of Securities): In a situation of deficient demand leading to deflation, central bank purchases government securities and bonds from commercial bank. With the purchase of these securities, the power of commercial bank of giving loans increases, which will control deficient demand.
Cash Reserve Ratio (Decrease): In a situation of deficient demand leading to deflation, cash reserve ratio (CRR) falls to 5 per cent, the bank will have to keep Rs. 5 crores with the central bank, which will increase the cash resources of commercial bank and increasing credit availability in the economy, which will control deficient demand.
The Statutory Liquidity Ratio (SLR) (Increase): In a situation of deficient demand leading to deflation, the central bank decreases statutory liquidity ratio (SLR), which will increase the cash resources of commercial bank and increases credit availability in the economy.

GOVERNMENT BUDGET AND THE ECONOMY

Q1. Suppose you are a member of the "Advisory Committee" to the Finance Minister of India. The finance minister is concerned about the rising Revenue Deficit in the budget. Suggest three measures to control the rising Revenue Deficit of the government.
Ans. Measures to Control Revenue deficit:
(i) To reduce government administrative expenses.
(ii) To reduce the burden of subsidy.
(iii) To increase taxation.
Q2. Distinguish between Direct tax and Indirect tax.
Ans.

Basis	Direct Tax	Indirect Tax
Meaning	Direct taxes are those taxes whose final burden falls on that person who makes the payment to the government	These are those taxes which are paid to the Govt. by one person, but their burden is borne by another person.
Incidence & Impact Tax	When the incidence and impact of the tax lie on the same person, it is called a direct tax.	When the incidence and impact of tax lie on different persons then it is called an indirect tax.
Shift of Taxation	The impact of direct tax cannot be shifted.	The impact of indirect taxation can be shifted.
Nature	Direct taxes are generally progressive in nature.	Indirect taxes are generally regressive in nature.
Effect on Market Price	These taxes do not affect the market price of the product.	These taxes have a direct & +ve effect on the market price of a product.
Examples	Income Tax, Wealth Tax, Corporation Tax, etc.	Goods & Service Tax (GST)

Q3. Distinguish between Revenue Receipts and Capital Receipts.
Ans.

Basis	Revenue Receipt	Capital Receipt
Creation of Liability	These receipts don't create any corresponding liability for the Govt. e.g. Tax Receipt, License fees.	These Receipts create corresponding liability for the Govt. e.g. Borrowings
Reduction in assets	These do not cause any reduction in the assets of the Govt. e.g. License fees, gifts, grants, fines & penalties, etc.	These cause reduction in the assets of the government. e.g. Recovery of loans, disinvestment
Effect on Assets & Liabilities of Govt.	Assets and Liabilities of the Government are not affected	Assets and Liabilities of the Government are affected.
Nature	These receipts are recurring in nature	These receipts are non-recurring.

Q4. Distinguish between Revenue Expenditure and Capital Expenditure.

Ans.

Basis	Revenue Expenditure	Capital Expenditure
Creation of assets	These expenditures don't create assets for the Govt. e.g. expenditure on the old- age pension, unemployment allowance.	These creates assets for the Govt. e.g. Expenditure on the construction of buildings, on purchase of shares, etc.
Reduction in liability	These don't cause any reduction in liability of the Govt. e.g. exp. on salary, subsidy, etc.	These cause reduction in liability of the Govt. e.g. repayment of loans.
Effect on assets & Liability	Assets & Liability of the Govt. are not affected.	Assets & Liability of the Govt. is affected.
Nature	These expenditures are recurring in nature.	These are non-recurring.

Q5. Explain how the government can use its budgetary policy in reducing inequality of income in the country.

Ans. Government's budget can help in reducing inequalities of income. This objective can be achieved by adopting two fiscal measures.

(i) Government can levy higher rate of tax on the income and property of the rich and also on the luxurious goods consumed by them. This measure will reduce their disposable income.

(ii) Government can spend more amount on welfare maximization, like providing free services to the poor like free education, health facilities etc. By adopting these measures, government can try to narrow down the gap between the rich and the poor.

Q6. Does the government bring equality in the society with the help of budget?

Ans. With the help of budget, government brings equality in the society. Through the budget government imposes more tax on the richer section of the society and on the other hand, government provides facilities like free education, health facilities and various allowances to the poor section of the society. This is one of the objectives of government budget.

Q7. How can one identify capital receipt & revenue receipt from the followings?

(i)Disinvestment in public sector.

(ii)tax collected by the government.

(iii)Profit of Indian railway.

Ans. (i) it is capital receipt because it reduces the asset of the government.

(ii)It is revenue receipt because it neither reduces asset nor increases the liability of the government.

(iii) It is revenue receipt because it neither reduces asset nor increases the liability of the government.

Q8. Explain Primary deficit in a government budget what does it indicate?

Ans. Primary deficit refers to difference between fiscal deficit of the current year and interest payments on the previous borrowings.

Primary Deficit = Fiscal Deficit – Interest payments Implications:

(i) It indicates, how much of the government borrowings are going to meet expenses than the interest payments.

(ii)The difference between fiscal deficit and primary deficit shows the amount of interest payments on the borrowings made in past.

Q9. State three sources each of revenue receipts and capital receipts in government budget.

Ans. Three sources of revenue receipts in government budget are: Goods and services tax, income taxes, fees, escheat, fines etc.

Three sources of capital receipts in government budget are: recovery of loans, borrowing from RBI, disinvestment.

Q10. How the government use its budgetary policy in reducing the inequality of income distribution in the country?

Ans. The government the budget can achieve to reduce inequalities in the distribution of income and wealth in two ways:

(i) By imposing higher taxes on the income of rich and the goods consumed by the rich, which will reduce the disposable income of the rich.

(ii) Increasing government expenditure by providing free services to the poor like education, medical facilities etc. This will raise the disposable income of the poor. Thus, the gap between rich and poor can be reduced.

(iii) public distribution system should be revamped so that only the poor could get foodgrains and other essential items at subsidized prices.

Q11. Two friends, Deepak and Mohan were discussing the impact of increase in GST rates on luxury items, as recently undertaken by the Government. Mohan was of the view that most of the luxury items (like foreign

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travel, imported cigarettes, etc.) should be taxed exorbitantly, while the items related to daily consumption of poor and middle class should be tax-free.
Identify and explain the objective of the Government budget Mohan is suggesting.
Ans. Re-allocation of Resource: - Through the budgetary policy, Government aims to reallocate resources in accordance with the economic (profit maximisation) and social (public welfare) priorities of the country. Government can influence allocation of resources through:
Tax concessions or subsidies: To encourage investment, government can give tax concession, subsidies etc to the producers. For example -Government discourages the production of harmful consumption goods (like liquor, cigarettes etc.) through heavy taxes and encourages the use of 'Khadi products by providing subsidies.
Directly produce goods and services: There are many non-profitable economic activities, which are not undertaken by the private sector like, water supply, sanitation, law and order, national defence, etc.
Q12. (i) "The Government Budget of a country cannot have fiscal deficit without the existence of revenue deficit." Defend or refute the given statement.
(ii) "Taxation" is an effective tool to reduce the inequalities of income: Justify the given statement with valid reasons.
Ans. (i) yes, it is possible in the following situations:
(1) When revenue budget is balanced and capital budget shows a deficit.
(2) When there is a surplus in the revenue budget but the deficit in capital budget is greater than this surplus.
(ii) The given statement is appropriate. The government may impose higher taxes (both direct and indirect taxes) on the richer class, reducing their purchasing power. Government may use the same tax revenue to provide goods and services (free or at subsidized price) to the poorer section of society to support them.
Q13. State whether the following statements are true or false, with valid reasons:
(i) High tax on higher income groups aims to achieve the "reallocation of resources" objectives of government budget.
(ii) "Borrowings" are a revenue receipt of the government.
(iii) "Fiscal deficit is necessarily inflationary in nature".
Ans. (i) This will reduce the inequalities of income as the difference between disposable incomes of higher income and lower income groups will fall. This will also provide more resource to the government for spending on welfare of the poor.
(ii) Capital receipts refer to those money receipts which creates a liability for the government or cause reduction in assets of the government. Therefore, borrowing is a capital receipt as it creates a liability for the government.
(iii) The term Fiscal Deficit' is the difference between the government's total expenditure and its total receipts (excluding borrowing). Such borrowings are generally financed by issuing new currency which may lead to inflation. However, if the borrowings are for infrastructural development, this may lead to capacity building and may not be inflationary.
Q14. Even if Capital receipts create burden of the government, what is the need to collect revenue form it?
Ans. The source of income of the government is both revenue receipts & capital receipts. The revenue receipt includes both revenue receipt & capital receipt. The revenue receipt is burden free whereas the capital receipts create liability for the government. The revenue receipt is not sufficient to meet the expenditure of the government. The revenue receipt cannot balance both revenue & capital expenditure. So, the government is collecting the revenue from capital receipts which included borrowings, disinvestment & recovery of loan.
Q15. Fiscal deficit is inflationary in nature. Give your opinion in the context of Indian Economy.
Ans. Fiscal deficit is inflationary in nature. Fiscal deficit is the borrowing of the government. Due to fiscal deficit, additional money is injected into the economy Therefore the money supply increases in the economy and it creates additional pressure on inflation. But a low fiscal deficit is good for the economy and there will be development in the economy like India.
Q16. What is the effect of zero primary deficits on the economy?
Ans. Primary deficit is the difference between fiscal deficit and interest payment. Zero primary deficit represents equality between fiscal deficit and interest payment. Fiscal deficit is the borrowing of the government. So, zero fiscal deficit indicates that the amount of borrowing taken by the government is used to pay the interest of the loan taken by the government.
Q17. (i) Define disinvestment. What are the different approaches of disinvestment?
(ii) Explain why disinvestment route has been adopted by the government?

Ans. (i) Selling off part of the equity of central or state public sector enterprise to the public is known as disinvestment,
The three main approaches of disinvestment are:
(a) Minority disinvestment: When government retains a majority in the company, typically, greater than 51%, thus ensuring management control.
(b) Majority disinvestment: When government hands over control to the acquiring but retains some stake with themselves.
(c) Complete privatization: When government hands over 100% control of the company to the buyer.
(ii) The government may disinvest in order to reduce the fiscal burden or bridge the revenue shortfall for that year. It also uses disinvestment proceeds to finance the fiscal deficit, to invest in the economy and development or social sector programmes, and to retire government debt. Disinvestment also encourages private ownership of assets and trading in the open market. If successful it also means that the government does not have to fund the losses of a lossmaking unit anymore.

Q18. Which of the following is/are included in the capital budget of the government? Give reasons for your answer.
(i) Borrowings from the public.
(ii) Loans received from foreign government.
(iii) Expenditure on acquisition of assets like roads, buildings, machinery etc.
(iv) Loans and advances granted to the States Government.

Ans. (i) Borrowing from the public, increases the liability of the government, thus it is a capital receipt.
(ii) Is a capital receipt, because by receiving loan from foreign government, it increases its liability to pay back
(iii) Expenditure on acquisition of assets like roads, buildings etc. are treated as capital expenditure as it leads to creation of above assets.
(iv) Loans and advances granted to the state government are treated as capital expenditure as it leads to creation of assets by the government.

Q19. Discuss briefly the major difference between fiscal deficit, revenue deficit and primary deficit.
Ans.

Revenue Deficit	Fiscal Deficit
It is the excess of total expenditure over total receipts/income, excluding borrowings, in a fiscal year.	It is the excess of revenue expenditure over revenue income in a financial year.
Fiscal Deficit measures the government's total borrowing requirements.	Revenue Deficit indicates government's inability to meet its recurring and regular expenditures.
Fiscal Deficit represents the additional financial resources required by the government to meet its expenditure.	Revenue Deficit represents government's dissaving.
Fiscal Deficit occurs when the government spends more than it earns or beyond its resources.	Revenue Deficit occurs in an economy when the realised income is less than the projected/expected income.
Fiscal Deficit = Total Expenditure - Total Receipts (except borrowings)	Revenue Deficit = Revenue Expenditure - Revenue Receipts

THE BALANCE OF PAYMENTS & THE FOREIGN EXCHANGE RATE

Q1. Write some important terms related to Foreign Exchange Market?

Ans. (i) Foreign exchange market: it is that market where exchange of foreign currencies took place. The major participants in this market are commercial banks, brokers, other authorised dealers, etc
(ii) Forward market: it refers to that market which covers sale and purchase of foreign exchange for future delivery, at a rate decided today.
(iii) Spot market: The market which handles only spot transaction or current transactions of foreign exchange are termed as spot market or current market.

Q2. Distinguish between autonomous transactions and accommodating transactions of balance of payments account.

Ans.

Autonomous Transactions	Accommodating Transactions
These transactions take place for profit purpose	These transactions take place for managing Bop equilibrium.
These transactions are responsible for deficit or surplus in BoP.	These transactions are responsible for correction deficit or surplus in BoP.
These involve movement of goods across the countries.	These do not involve movement of goods across the countries.
Above the line items.	Below the line items.

Q3. Distinguish between balance of trade and balance of payment.
Ans.

Balance of Trade	Balance of Payment
Export of goods – Import of goods	All Receipts in foreign currency - All Payments in foreign currency
Smaller/ narrow concept	Broad concept (it includes balance of trade)
It does not include services, investment, debt etc.	It includes all transactions (goods, services, debt, investment)

Q4. Name the broad categories of transactions recorded in the 'current account' of the balance of payments accounts.
Ans. It refers to the account which record all the current transactions of goods, services and unilateral transaction.
Main transactions of this accounts are:

- Export and Imports of goods or visible
- Export and Imports of factor services or income flows (it includes interest, profit, rent, royalty)
- Export and Imports of non-factor services (it includes banking, insurance, transportation, tourism, purchase by tourists etc.)
- Unilateral Transactions (one sided payment are gifts, grants, donations, aid etc.)

Q5. Give the meanings of 'autonomous' transactions and 'accommodating' transactions in the balance of payments accounts.
Ans. Autonomous transactions are those transactions which **take place with the purpose of profit**. They have no meaning with equilibrium of BoP. They are also called **'above the line items**. All the transactions of 'Current account and Capital account' are Autonomous transactions.
Accommodation Transactions are those transactions which take place to **make BoP in equilibrium**. They are directly related with deficit or surplus of BoP. They are called **'below the line items**. All the transactions related to use of 'Official Reserve account' are the Accommodating transactions.
Q6. Distinguish between Current Account & Capital Account.
Ans.

Current account	Capital account
1. Current Account records receipt and payment of foreign exchange on account of such transactions which do not impact asset-liability status of a country in relation to rest of the world	1. Capital account records receipts and payments of such transactions which cause an impact on asset-liabilities status of a country in relation to rest of the world.
2. Current account deals with the receipts & payments for those goods which are currently produced	2. Capital account deals with debts & claims
3. Current account has a direct influence on the level of income of a country.	3. Capital account influences the volume of assets of the country.

Q7. Explain the effect of appreciation of domestic currency on imports.
Ans. Appreciation of domestic currency
(i) When the exchange rate needs to be reduced, the central bank releases the supply of US dollar in the foreign exchange market.
(ii) Other things remaining constant, higher supply of US dollar would lower the price of US dollar, as desired.
(iii) This would lead to appreciation of domestic currency
Effect of appreciation of domestic currency on imports: Less rupees are now required to buy good worth one US dollar in the US market. As a result, imports are likely to Rise.
Q8. Discuss briefly the meaning of:
(i) Fixed exchange rate (ii) Flexible exchange rate (iii) Managed floating exchange rate
Ans. Fixed exchange rate: Fixed Exchange Rate System refers to the system in which the rate of exchange is determined by government OR monetary authorities.
Flexible Exchange Rate: Flexible Exchange Rate System refers to such a rate of exchange which is determined by the demand for & supply of the foreign exchange in the foreign exchange market. Under this system, the govt.

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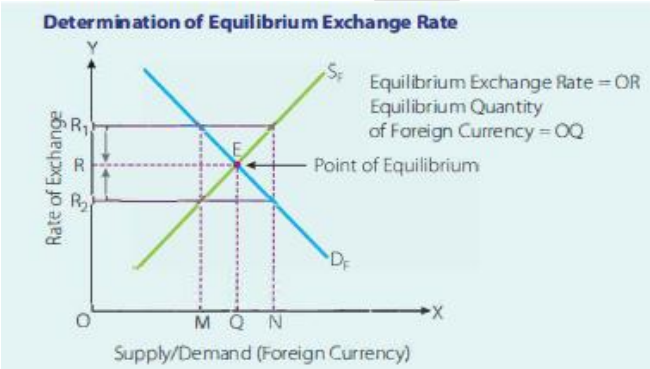
or central bank does not intervene in the determination of exchange rates.
Managed floating exchange rate: Managed floating exchange rate is the floating (flexible) exchange rate which can be influenced by the intervention of central bank in the foreign exchange market.
Q9. Define 'Trade Surplus' and 'Trade deficit'.
Ans. Trade Surplus: Refers to excess of value of export of visible (goods) over value of import of visible (goods) in the BOP of a country. Trade Surplus = Exports of goods >Imports of goods
Trade Deficit: Refers to excess of value of import of visible (goods) over value of export of visible (goods) in the BOP of a country. Trade Deficit = Exports of goods < Imports of goods
Q10. Explain by giving examples, the distinction between depreciation and devaluation of domestic currency.
Ans. Depreciation and Devaluation:

Devaluation	Depreciation
1. Devaluation refers to reduction in price of domestic currency in terms of all foreign currencies under fixed exchange rate regime	1. Depreciation refers to fall in market price of domestic currency in terms of a foreign currency under flexible exchange rate regime.
2. It takes place due to government	2. It takes place due to market forces of demand and supply.
3. It takes place under fixed exchange rate system	3. It takes place under flexible exchange rate system.

Q11. Distinguish between 'autonomous' and accommodating' balance of payments transaction. (OR) Give the meanings of 'autonomous' transaction and accommodating' transaction in the balance of payments accounts.
Ans. Items in the BOP account can be also classified into two categories viz. Autonomous or above the line items and accommodating or below the line items.

Autonomous Items	Accommodating Items
(i) Autonomous items refer to such Bop transactions which are undertaken for considerations of profit.	(i) Accommodating items refer to such Bop transactions which are free from the considerations of profit.
(ii) Autonomous items are the causes of Bop imbalance.	(ii) Accommodating transactions are undertaken to maintain the balance in Bop account.
(iii) Autonomous transactions take place on both current and capital accounts.	(iii) Accommodating transactions take place only on capital account.
(iv) These items are also known as above the line items.	(iv) These items are also known as below the line items.

Q12. How the foreign exchange rate determined in the foreign exchange market? Explain.
Ans. Foreign exchange rate determined in the foreign exchange market: Flexible Exchange Rate determined in the foreign exchange market System. Flexible Exchange Rate refers to such a rate of exchange which is determined by the demand for & supply of the foreign exchange in the foreign exchange market. Under this system, the govt. or central bank does not intervene in the determination of exchange rates.
Determination of Foreign Exchange Rate:
Equilibrium exchange rate occurs where supply of and demand for foreign exchange is equal to each other or intersection of both demand and supply curve determines the equilibrium rate of exchange.



Observation: In the fig. demand and supply are measured on the x-axis and exchange rate on the y axis. DD is the demand curve and SS is the supply curve of foreign exchange which intersects each other at point E. It is equilibrium point where OR is the equilibrium rate of exchange and OQ the equilibrium Quantity.

PART-B INDIAN ECONOMIC DEVELOPMENT

INDIAN ECONOMY ON THE EVE OF INDEPENDENCE

Q1. How Railways reduced the impact of famines during the colonial period?
Ans. Under the colonial period, Railways facilitated the movement of food grains from the surplus zones or from the government warehouses to areas afflicted with famines. Accordingly, the impact of famines was reduced.
Q2. Mention the state of the agricultural sector under British rule.
Ans. The agricultural sector continued to experience stagnation and deterioration despite the fact that largest section of Indian population depended on it for subsistence.
Q3. "Demand for Indian Handicrafts in the Indian market as well as foreign markets was systematically destroyed by Britishers." Defend or refute.
Ans. The given statement is defended.
(i) Demand in the foreign market was destroyed by imposing heavy duty on the exports of Indian Handicrafts.
(ii) Demand in the Domestic Market (i.e. Indian Market) was destroyed by allowing duty free import of British finished goods in the Indian Market.
Q4. What was the focus of the economic policies pursued by the colonial government in India? What were the impacts of these policies?
Ans. The economic policies pursued by the colonial government in India were concerned more with the protection and promotion of the economic interests of their home country than with the development of the Indian economy.
Impacts of these policies are as follow:
India became supplier of raw material.
India became importer of finished products.
Q5. Were there any positive impacts of British rule in India? If, yes, then state any three of them.
Ans. To provide transport facilities, largely in terms of railways, all weather roads, Development of ports.
Provision of post and telegraph services. British Government set up administrative services which formed the basis of IAS. Political and economic integration of India. Evolution of banking and monetary system.
Q6. What are the two-fold motive behind the systematic deindustrialisation affected by the British in Pre-independent India?
Ans. The two-fold motive behind the systematic de-industrialisation of India was:
First, to reduce India to the status of a mere exporter of important raw materials for the upcoming modern industries in Britain.
Second, to convert India into a big market for the finished products of those industries, in order to ensure the maximum advantage accruing to their home country, Britain.
Q7. The traditional handicrafts industries were ruined under the British rule. Do you agree with this view? Give reason in support of your answer.
Ans. India was particularly known for its traditional handicraft industries before the British came into India. They were found in every village and the craftsmanship was patronised world over.
(i) The restrictive policies of the colonial government reduced India to an exporter of raw materials and cash crops to serve their interests.
(ii) The British destroyed the institution of Indian handicrafts but did not care to provide an alternate source of employment. The unemployed artisans and craftsmen shifted to agriculture. In the middle of 19th century, about 55 per cent of the population was dependent on agriculture. The proportion went up to over 70 per cent under the British.
(iii) The decay of these industries was a major cause of the poverty of rural people, who derived additional income from handicrafts. The artisans found it difficult to recover from the degenerated state caused by the colonial government.
Q8. How the terms are used in international trade? Direction of trade and Composition of trade?
Ans. Direction of trade refers to the country with whom a country is trading.
Composition of trade means a study of the goods and services of imports and exports of a country. In other words, it talks about the commodities of imports and the commodities of exports of a country.
Q9. Enumerate the significant characteristics of the Indian economy during its transition to independence in 1947.
Ans. (i) Agrarian Economy: The Indian economy heavily relied on agriculture, with the majority engaged in subsistence farming using traditional methods.

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(ii) Colonial Exploitation: British colonial rule led to resource drain and exploitation, hindering economic growth and self-sufficiency.
(iii) Limited Industrialization: Industrial sector was underdeveloped due to lack of investment and restrictive policies, stunting manufacturing growth.

Q10. What were the main causes of India's agricultural stagnation during the colonial period?

Ans. India's agricultural stagnation during the colonial period resulted from:
(i) Land Revenue Policies: Heavy land taxes led to reduced incentives for farmers, hindering investment and modernization.
(ii) Commercialization of Agriculture: Shift towards cash crops for export led to neglect of food crops, impacting food security.
(iii) Infrastructure Neglect: Lack of irrigation, transport, and storage facilities limited productivity and access to markets.

Q11. Under the colonial dispensation, the economic policies were the protection and promotion of British economic interests, yet we still follow certain values learnt from British rule. Comment.

Ans. Some values we still follow, which we derived from their negative approach to achieve their objectives of colonial exploitation of Indian economy are:
(i) Greater cultural affinity through spread of roadways and railways.
(ii) Spirit of enquiry which changed the barter system into monetary system of exchange.
(iii) We also learnt a valuable system of organisational skills and efficient administrative set up.

Q12. 'Composition of foreign trade of any country tells us about the nature of commodities that are exported and imported'. What can you state about the composition of foreign trade at the time of independence?

Ans. India's foreign trade under the British rule is described as below:
(i) The British followed a typical colonial pattern of trade in India, where it was made to serve their interests.
(ii) India exported raw materials to the home country of the British for their expanding industries.
(iii) India was also developed as a market for the finished goods of the British industries. Thus, India was reduced to being a source of food.

Q13. Were there any positive contribution made by the British in India.

Ans. While British colonial rule in India was marked by exploitation and hardships, a few positive contributions can be acknowledged:
1. Railway Network: The British established a vast railway network, facilitating transportation and trade across the subcontinent.
2. Legal and Administrative Reforms: They introduced legal and administrative systems that, despite their limitations, laid the groundwork for modern governance.
3. Education: The British promoted education, leading to the establishment of universities and institutions that later played a role in India' s intellectual growth.
4. Communication Infrastructure: They improved communication through postal and telegraph services, connecting different regions.

Q14. Can you quantify the demographic characteristics of India under colonial rule?

Ans. The demographic condition on the eve of independence was as follows:
1. High birth rate and death rate: High birth rate and death rate are treated as index of backwardness of a country. Both birth rate and death rate were very high at 48 and 40 per thousand respectively.
2. High infant mortality rate: It was about 218 per 1000 live births.
3. Low life expectancy: Life expectancy means the number of years that a new born child on an average is expected to live. It was as low as 32 years.
4. Mass illiteracy: Literacy rate was around 17 percent, reflecting social backwardness as a reflection of economic backwardness.

Q15. Identify the focus of the economic policies pursued by the colonial government in India and the impacts of these policies?

Ans. The primary motive of the colonial government of systematically de industrialising India was two-fold.
The intention was to reduce India to the status of a mere exporter of important raw materials for the upcoming modern industries in Britain.
To turn India into a sprawling market for the finished products of their industries so that their continued expansion could be ensured to the maximum advantage of their home country Britain.
The impact of these policies was:

Decline of handicraft industry: Indian market was full of manufactured goods from Britain which were priced low. Indian handicrafts could not face competition and thus the demand of handicrafts declined.
Massive unemployment: Millions of craftsmen became unemployed due to decline in demand of handicrafts.
Low standard of living: The per capita income of Indians was one of the lowest in the world indicating that the average Indian was extremely poor and could not afford even the basic necessities of life. The extent of poverty can be known by the fact that three million people died during Bengal famine of 1943.
Q16. Suez Canal is an artificial waterway. Explain its significance in international trade during British rule.
Ans. Suez Canal is an artificial waterway running from north to south across the Isthmus of Suez in north-eastern Egypt. following were Its significance during British rule:
(i) The opening of Suez Canal in 1869 reduced the cost of transportation and made access to the Indian market easier.
(ii) The canal provided a direct trade route for ships operating between 68Britain and India and avoided the need to sail around Africa.
(iii) Strategically and economically, it is one of the most important waterways in the world.
Q17. Give a quantitative appraisal of India's demographic profile during the colonial period.
Ans. The demographic condition on the eve of independence was as follows:
(i) High Birth Rate and Death Rate: High birth rate and high death rate are treated as index of backwardness of a country. Both birth rate and death rate were very high at 48 and 40 per thousand of persons respectively.
(ii) High Infant Mortality Rate: If refers to death rate of children below the age of one year. It was about 18 per thousand live births.
(iii) Low Life Expectancy: Life expectancy means the number of years that a new born child on an average is expected to live. It was as low as 32 years.
(iv) Mass Illiteracy: Mass Illiteracy among the people of a country is taken as an indicator of its poverty and backwardness. The population census of 1941 (which was the last census under the British rule) estimated the literacy rate at 17 per cent. This means that 83 per cent of the total population was Illiterate.
(v) Low Standard of Living: At the time of Independence, people used to spend between 80 to 90 percent of their Income on basic necessities, that is, on food, clothing and housing. Even then, people did not get adequate quantity of food or clothing or housing; and millions of people starved, went naked and lived in huts or in the open.
Moreover, some parts of India came under severe famine conditions. The famines were so severe that millions died. One of the worst famines in India was the Bengal famine of 1943 when three million people died.
Q18. What was the condition of agriculture sector at the time of Independence?
Ans. (i) Land settlement system: Under this system, the zamindars were the owners of land. The profit accruing out of agriculture went to zamindars instead of cultivators. This lead to exploitation of peasants and they were in a very bad condition.
(ii) High dependence on Monsoon: Agriculture sector was mainly dependent on monsoon. No effort was ever made under the British rule to develop permanent means of irrigation.
(iii) Lack of Proper Input: Low level of technology, lack of irrigation facility and negligible use of fertilizers, added to aggravate the plight of the farmers and contributed to the dismal level of agricultural productivity.
(iv) Commercialisation of agriculture: It means producing crops for sale in the market and not for self-consumption. Farmers were forced to cultivate commercial crops like Indigo which was required by the textile industry in Britain, this resulted in fall in the production of food crops and the farmers had to suffer famine frequently.
(v) Partition of the country: In 1947 the division of country between India-Pakistan affected India's agricultural production adversely. The areas which were rich in producing food crops like East Punjab and Sind went to Pakistan and it created food crisis in the country. The whole of the fertile land under jute production went to East Pakistan and the jute industry was severely affected.
Q19. "British rule adversely hampered the industrial sector of India." Do you agree with this view? Give reasons in support of your answer.
Ans. British rule adversely affected industrial sector in India which can be understood through the following points-
(i) Discriminatory Tariff Policy: The British Government allowed tariff free export of raw materials from India and tariff free import of British industrial products into India. But a heavy duty on the export of Indian handicrafts products. It leads to decay of handicrafts industry in India.
(ii) Competition from machine: Industrial revolution in Britain gave a stiff competition to the handicraft industries in India. Due to low cost and better-quality product produced by machine forced the Indian craftsmen to shut down the handicraft Industry in India.
(iii) New Patterns of Demand: Owing to British rule in India, a new class of people emerged in India. This changed

the pattern of demand in India against the Indian products and in favour of British products. As a result, the Indian Industry tended to Perish

(iv) More market for British Goods: An introduction of railways facilitated the transportation of the British products to different parts of the country. As a result, the size of the market for the low-cost British product expanded while it started shrinking for the high-cost Indian products. This lead to decay of Industry in India.

Q20. The Indian Economy was experienced a lot of economic challenges at the time of Independence. Highlight on it.

Ans. At the time of independence some of the most crucial challenges faced by India were:

(i) The agricultural sector experiencing stagnation and deterioration despite of the largest section of the population being dependant on it for sustenance.

(ii) The British rule had led to the collapse of India's world-famous handicrafts industries, which culminated into massive unemployment rampant in India.

(iii) Lack of adequate public health facilities, occurrence of frequent natural calamities like famines further pauperised the helpless Indian people and also resulted in high mortality rates

(iv) Mass illiteracy, unemployment, poverty, hunger and death in starvation

(v) Drain of wealth where the raw material was taken away by the British at a very low price and even at no price.

(vi) The British persuaded the farmers to grow indigo for which the most fertile land was used to grow indigo. This caused shortage of food grains and famine in major part of India.

Q21. What do you mean by demographic transition? Relate it with the year great divide and small divide. Throw a light on quantitative appraisal of India's demographic profile during colonial period.

Ans. Demographic transition refers to the population related to economic development. There are three stages of demographic transition:

(i) High birth rate and high death rate (STAGE I)

(ii) High birth rate and low death rate (STAGE II)

(iii) Low birth rate and low death rate (STAGE III)

The population in India started increasing from the year 1921, for which it is called the year of Great Divide. But from the year 1951 onwards the population in India started increasing at an alarming rate. So, 1951 is otherwise called the year of small divide.

If we study the demographic profile during British period the following point are not worthy.

- Before 1921, India was in the first stage of demographic transition.
- The second stage of transition began after 1921. However, neither the total population growth nor the rate of population growth was high at this stage.
- Overall mortality rate was very high, especially the infant mortality rate about 218 per thousand, in contrast to present infant mortality rate of 33 per thousand.
- Life expectancy was also very low-32 years in contrast to the present 69 years.
- Prevalence of extensive poverty during the colonial period, contributed to the worsening profile of India's population of the time.

Q22. What was the condition of industrial sector on the eve of independence?

Ans. The scenario of industrial sector under the British colonial rule was under-developed. British policies transformed the Indian economy into a mere supplier of raw materials and consumer of the finished f industrial products from Britain. There was a lack of heavy, basic and capital goods industries and country was almost totally dependent upon foreign nations for supply of machines, engines spare parts, etc. Manufacturing capacity was also very limited

Modern industry began to take root in India during the second half of the 19th century. The first Iron and steel company TISCO (Tata Iron and Steel Company) was established in Jamshedpur. This plant began production in 1912 Industries like sugar, Carnet and paper also came up after the Second World War.

However, there was an absence of capital goods industries at the time of Independence As a result contribution of industrial sector to the national GDP remained very low.

Q23. "The railways affected the structure of the Indian economy positively, as well as negatively." Do you agree?

Ans. Yes, I agree. The railways affected the structure of the Indian economy positively in the following ways

(i) It enabled people to undertake long distance travel and thereby break geographical and cultural barriers.

(ii) It fostered commercialisation of Indian agriculture as agricultural produce could be sent to distant places. Farmers started viewing agriculture as a business rather than a way of subsistence.
(iii) Railways enabled the government to supply foodgrains Fastly to famine affected areas.
The railways affected the Indian economy negatively in the following ways:
(i) It enabled the goods from British factories to be transported to various parts of the country, thereby expanding their market.
(ii) It facilitated the transport of raw materials to the port cities and ensured their easy exportability.
(iii) Commercialisation of agriculture affected the self-sufficiency of the rural areas.

INDIAN ECONOMY 1950-1990

Q1. Discuss briefly the rationale behind choosing 'Modernization' as a planning objective for the Indian economy.
Ans. Modernization refers to adoption of new technology, new methods of production and changes in social outlook. The purpose was to ensure growth and development of the economy through international competition & to bring Indian society out from traditional ideologies. For example - adoption of HYV seeds, gender employment etc.
Q2. "Subsidies put a huge burden on government's finances and are necessary for poor and marginal farmers." Do you agree that granting subsidies justify the objective of social justice?
Ans. Yes, I agree with the given statement. Subsidies means that the farmer get inputs at prices lower than the market prices. Indian government has always provided massive subsidies to farmers. Subsidies are essential because:

- Majority of the farmers are very poor and will not able to afford the required inputs without the subsidies. Subsidies provide them the equality of opportunity to use the inputs as used by rich farmers.
- Subsidies help to reduce the income inequality gap between rich and poor farmers and help to achieve the ultimate goal of equity.

So, the government should continue with agricultural subsidies as farming in India continues to be risky business.
Q3. Discuss briefly, the rationale behind "Equity with Growth" as planning objectives for Indian economy.
Ans. Economic growth (in terms of GDP growth) would become a meaningless exercise if the benefits of it accrue to only a handful of people in the society. Benefits of growth must spread across larger sections of the society, so that the distribution of income becomes equitable. 'Equity' (in terms of equitable distribution of income) implies social justice, and economic growth must be combined with social justice. That is why, planning in India, focuses not merely on economic growth, but on 'growth with social justice'.
Q4. 'Atmanirbhar Bharat' had been at the roots of Indian planning process in the form of 'self-reliance' as an objective of planning process. Do you agree with the given statement? Justify the rationale of the given statement.
Ans. The given statement is correct; in the early post-independence period the aim of the Government's policy was to reduce the dependence on the foreign countries for goods, services, technology and capital. It stressed on the use of domestic resources to avoid foreign interference, as it was feared that the dependence on the imported food supplies, foreign technology and foreign capital may increase foreign interference in the policies of our country. Similarly, the main thrust of the 'Atmanirbhar Bharat' is also to make India an economy that is self-reliant and self-sufficient.
Q5. Why was it necessary for a developing country like India to follow self-reliance as a planning objective?
Ans. This policy was considered a necessity in order to reduce our dependence on foreign countries, especially for food.
Further, it was feared that dependence on imported food supplies, foreign technology and foreign capital may make India's sovereignty vulnerable to foreign interference in our policies.
Q6. "The world has experienced two primary types of economic systems along with a hybrid one." Elaborate on the given statement.
Ans. Capitalist system: This is a system dependent on market forces. Goods are produced based on demand and can be obtained only by those who have purchasing power.
Socialist system: Goods and services are provided by the government based on the needs of the society and not on who can purchase them. There is strictly no private property and everything is owned by the state.
India follows a mixed economy. The market will produce what it can, and market forces will be in play. But the government will provide what the market fails to do, and to those who cannot afford it.

Q7. 'Land ceiling promotes equity.' Support the given statement with a valid explanation.
Ans. Land ceiling means fixing the maximum size of land which could be owned by an individual, beyond which it would be taken over by the government and would be allotted to landless and small farmers. The purpose of the land ceiling was to reduce the concentration of land ownership in a few hands and promote equity.
Q8. Explain the objective of 'self- sufficiency' as adopted in Indian planning.
Ans. Self-sufficiency refers to reducing dependence on imports of goods which can be produced within the country itself & on foreign aid. Every country wants to be self-reliant because dependence on foreign countries invites foreign interference in domestic policies. Its objectives are-
(i) Self - sufficiency in food grains.
(ii) Rise in exports.
(iii) Fall in foreign aid and reduced dependence on imports which is possible when there is growth in domestic production. Rise in contribution of industries in GDP.
Q9. How do small scale industries promote rural development?
Ans. In 1955, the village and small- scale industries committee (Karve committee) recognized the possibility of using small scale industries to promote rural development.
(i) Small scale industries are more labour intensive; therefore, they generate more employment.
After agriculture, small scale industries provide employment to the largest number of people in India.
(ii) Setting up of SSI is location flexible & hence useful in balanced regional development
(iii) SSI can easily be established with local resources & small investment
Small scale industries cannot compete with the big industries. They can flourish only when they are protected from the large firms.
Q10. Explain how import substitution can protect domestic industry.
Ans. Policy of import substitution can help in protecting domestic industries in two ways:
(i) Heavy duty or tariff on imported goods make them more expensive & discourage their use
(ii) Quotas i.e. fixing maximum limit on imports of a commodity restricts level of import.
As a result, domestic firms can expand production & sale.
Q12. Does modernisation as a planning objective create contradiction in the light of employment generation? Explain.
Ans. No, modernisation as a planning objective does not create contradiction in the light of employment generation. In fact, both (modernisation and employment generation) as goals of planning is complementary, not contradictory to each other. Note the following observations in this regard: (i) Modernisation (in terms of adoption of new technology) implies increase in productivity. Implying lesser requirement of labour per unit of output. (ii) With increase in productivity, level of production activity and the level of income tend to rise. Rising income implies a rising demand for goods and services. (iii) In order to fulfil the rising demand, the producers plan for higher levels of output. Implying a rise in demand for inputs including labour. Thus, as growth progresses (based on increase in productivity), opportunities of employment tend to rise. Accordingly, a positive correlation between modernisation and employment generation.
Q13. "Import substitution is a good way of protecting the domestic industry." Justify the statement.
Ans. Import Substitution is a strategy to save foreign exchange by encouraging domestic production of such goods which the country has been importing from the rest of the world. Domestic industry is offered protection from foreign competition through import restriction and import duties.
Q14. "In order to protect domestic industries, India followed the regime of restrictions on imports." Briefly outline and discuss such steps taken by the government to promote import substitution policy.
Ans. In order to protect domestic industries, India followed the import substitution policy. This policy aimed at substituting imports with domestic production. The domestic industries were protected from foreign competition by using the following tools:
(i) Tariffs: Tariffs are a tax on imported goods that make imported goods more expensive and discourage their usage.
(ii) Quota: Quotas specify the quantity of goods that can be imported.
Q15. While subsidies encourage farmers to use new technology, they are a huge burden on government finances. Discuss the usefulness of subsidies in light of this fact.
Ans. The usefulness of subsidies:
(i)The government should continue with agricultural subsidies because farming in India continues to be a risky business.
(ii) Most farmers are very poor and they will not be able to afford the required inputs without subsidies.

(iii) Eliminating subsidies will increase the inequality between rich and poor farmers and violate the goal of equity.

Q16. Why and how was the private sector regulated under the IPR 1956?

Ans. This policy was used for promoting industry in backward regions. It was easier to obtain a license if the industrial unit was established in an economically backward area. The purpose of this policy was to promote regional equality. The private sector was kept under state control through a system of licenses.

(i) No new industry was allowed unless a license was obtained from the government.

(ii) Even an existing industry had to obtain a license for expanding output or for diversifying production (producing a new variety of goods).

Q17. How did the land reform create major development in agriculture?

Ans. (i) Land reforms were needed to achieve the objective of equity in agriculture.

(ii) Land reforms resulted in abolition of zamindari system & giving ownership of land to the actual tiller of the soil

(iii) It brings a systematic and complete changes to the agrarian structure of the country

(iv) Its other main aim was to abolish the intermediaries of the semi-feudal landlordism system of India

(v) The land reforms would also prevent any exploitation of the tenant farmers by the hands of the landlords through regulation of rent

In this way, land reform creates a major development in agriculture.

Q18. Why was public sector given a leading role in industrial development during the plan period?

Ans. (i) Shortage of capital with private sector to undertake investment in industries required for the development of Indian Economy

(ii) Lack of incentive for private sectors to undertake major industrial projects

Objective of social welfare could be achieved only through direct participation of the govt in the process of industrialization

Q19. State the salient features of the of the Industrial Policy Resolution 1956.

Ans. Industrial Policy Resolution, 1956 (IPR, 1956) Three-fold classification of industries:

- It is exclusively owned by the state.
- It consisted of industries in which private sector could supplement the effort of the state sector, with the state taking the sole responsibility for starting new units' enterprises.
- all private sector enterprises other than category (i) and (ii)
- Industrial licensing:
- Industries in private sector could be established only through license from the government.
- The private sector was kept under state control through a system of licenses.
- No new industry was allowed unless a license was obtained from the government.
- An existing industry had to obtain license for expanding output.
- The basic idea was to encourage industry in backward region and to promote regional equalities.
- Industrial concessions with a view to promoting industrial establishments in the backward regions. Concessions are tax holiday and subsidized power supply.

Q20. Why do you think that there was a need to implement land reforms in the agricultural sector? Also state the types of land reforms implemented.

Ans. Agricultural Reforms (Land Reforms)

At the time of independence, the land tenure system was characterised by intermediaries called zamindars, jagirdars, etc. They collected rent from the actual tiller without contributing to improvements on the farm. This demotivated the actual tillers and resulted in low productivity. Due to this reason, there was an urgent need for land reform policy.

The agricultural sector in India adopted the following types of land-reform strategies:

Abolition of intermediaries: Intermediaries (between the state and the actual tiller of the soil) known as Zamindars have been abolished. The ownership rights have been conferred upon those who actually cultivate the soil.

Regulation of rent: To put an end to excessive and illegal extorsions from the cultivators, rents have been fixed. Generally, these are not to exceed 1/3rd of the value of the crop

Consolidation of land holdings: Consolidation is a practice to allot land to the farmer at one place as a replacement for his scattered holdings here and there.it saves the cost of cultivation.

Cooperative farming: it is encouraged to enhance bargaining power of the small holders of land. Together they buy inputs at lower price and sell their produce at higher price.

Land ceiling: Ceiling on holdings is the maximum size of cultivable land holding that an individual or a family can own. The surplus land has been resumed by the government and redistributed among small land holders or landless labourers

Q21. (i) Why was green revolution implemented and how did it benefit the farmers?
(ii) Justify the following statement with valid explanation: 'Green revolution enabled the government to procure sufficient food grains to build its stocks that could be used during time of shortage'.
Ans. (i) Green revolution was implemented in India to overcome the shortage of food-grain availability in the post-independence period. Green revolution has increased the production and productivity in the agriculture sector which was otherwise very low. It helped in improving the income of the farmers by creating marketable surplus, increased employment and output.
(ii) The given statement is appropriate as the Green Revolution helped government to procure and preserve more food grains through agencies like Food Corporation of India. Increase in food grain production has been so substantial that India not only started maintaining buffer stocks of food grains but also became a dominant player in food grain exports market.

LIBERALISATION, PRIVATISATION AND GLOBALISATION: AN APPRAISAL

Q1. 'Globalization is the outcome of liberalisation and privatisation strategies.' Explain.
Ans. Globalisation refers to the growing interdependence of countries worldwide through the increasing volume and variety of cross border transactions in goods and services and also through the more rapid widespread diffusion of technology. Globalization is the outcome of the policies of liberalization and privatization. One of the most important outcomes of the globalization process is the outsourcing of services. Globalization is an opportunity in terms of greater access to global markets, high technology and increased possibility for the large industries of developing countries to become international players.
Skilled labour with cheaper rates of India's population is a big factor in making it a source of outsourcing. India has invested heavily in technical education and can provide a ready supply of bright people at relatively low cost.
Q2. Explain the adverse impacts of economic reforms on social justice and welfare in India.
Ans. New economic reforms 1991 in India introduced against the background of deep-rooted inequalities:

- Increase in inequality of income: This policy resulted more in the increase of the income and quality of consumption of the high-income groups.
- Variation in sector-growth: The growth mainly concentrated on certain selected areas in the service sectors like telecommunications IT finance entertainment travel etc.

This has taken place at the cost of the vital sectors of the economy like agriculture and industry which is an important source of livelihood to the majority of people in our country. Thus, it would be correct to state that the reforms have compromised the welfare of the people. This has proven just contrary to the goal of equity.
Q3. Mention three reasons for the public sector undertakings were sold off to the private sector after 1991.
Ans. Reasons for the public sector understandings were sold off to the private sector:
(i) The purpose was mainly to improve financial discipline and facilitate modernization
(ii) It was also envisaged that private capital and managerial capabilities could be effectively utilised to improve the performance of the PSUs.
(iii) The government envisaged that privatisation could provide strong impetus to the inflow of FDI
Q4. 'Amaazon.com, a vast internet-based enterprise has been outsourcing too various customer support companies in India to accommodate more local and international buyers and sellers.' In light of the above statement, how has the process of globalisation impacted the Indian economy?
Ans. (i) It generates more employment and job opportunities.
(ii) It raises the overall GDP of the country.
(iii) It leads to formalisation of the employment sector.
Q5. Economic policy of 1991 stressed on removing unnecessary restrictions and creating a more competitive environment to increase the interaction with the world economy. Which values in your opinion have been realised as per new economic policy?
Ans. (1) Liberalisation aims at liberating the trade and industry from unwanted restrictions and provides greater autonomy to investment enhancing spirit of competitiveness and open mindedness.
(2) Privatization aims at introduction of private ownership in publicly owned and managed enterprises and thus promotes efficiency of the private sector.

(3) Globalisation aims at opening up the economy to the world market and thus motivating the developing economy like India to face the challenge of international discipline.

Q6. Various fiscal reforms were initiated in the new economic policy of 1991. One fiscal measure taken was to reduce taxes. How in your views is it justifiable?

Ans. Before 1991, both direct and Indirect taxes were high. According to new economic policy of 1991, taxes were reduced to

(i) Discourage tax evasion. (ii) Provide incentive to honest tax payers.

Inculcate good values among the tax payers to cooperate with the govt. In meeting its public expenditure.

Q7. Define privatization. Mention the ways by which a government company is converted in to private company.

Ans. Privatization implies shedding of ownership or management of a government owned enterprise Privatization is possible by three ways by withdrawal of the government from ownership and management of public sector companies. and or selling off part of equity of PSEs to the public (Disinvestment) and or by outright sale of public sector companies.

Q8. Define liberalization. Why liberalization was introduced in India?

Ans. Liberalization is the lessening of government regulations and restrictions in an economy in exchange for greater participation by private entities. Liberalization was introduced in Indian economy due to the following reasons.

Most of the economic reforms were forced upon India as a part of the IMF bailout.

A Balance of Payments crisis in 1991 pushed the country to near bankruptcy.

In return for an IMF bailout, gold was transferred to London as collateral, the rupee devalued and economic reforms were forced upon India.

Q9. Why India is a preferred destination for outsourcing?

Ans. India is the best destination of outsourcing due to the following reasons:

- In India the outsourcing services (manpower) are available at a cheaper cost with reasonable degree of skill and accuracy.
- With India, you will not face any language or communication barriers as India is one of the largest English-speaking nations in the world. Indian people are fluent in the English language and it encourages outsourcers to choose India as their outsourcing destination
- Indians are computer/technology savvy
- Favourable government policies, fast-developing infrastructure and an immensely talented workforce.
- India is fully capable to handle complex turnkey projects effortlessly utilizing its skilled resources and state-of-the-art technology.

Q10. What is meant by liberalisation? Mention any three steps taken by India in this direction.

Ans. Liberalisation refers to the freedom of the economy from the direct controls imposed by the government.

Steps:

(i) De-licensing of industries' new economic policy abolished the system of industrial licensing except for those industries which were of strategic concern.

(ii) Amendment of MRTP Act: The government removed the restrictions monopolies and restrictive trade practices act.

(iii) Tariff and non-tariff barriers such as quantitative restrictions to trade were removed under liberalisation in trade and investment.

(iv) Liberalisation in the financial sector led to reduced tax rates and more freedom to financial institution in their lending and deposit policies.

Q11. Explain four positive impacts of New economic policy 1991.

Ans. Positive impacts of new economic reform 1991:

(i) Vibrant economy: overall level of economic activity has trended up as indicated by GDP growth. Post LPG policies the growth of GDP increased from 5.6% during 1980-91 to 8.2% during 2007-12

(ii) stimulant to industrial production: It is owing to these policies that IT industry in India has achieved global recognition

(iii) increase in foreign exchange reserve: forex reserves of the country have now reached a comfortable level. While in 1990- 91 the forex was US $6 billion, in 2018-19 these reserves increased to US dollar 413 billion while at the end of December 2021 these rose to US $633.614 billion. Good amount of forex reserve enhances economic confidence of the global investors in the Indian markets

(iv) Check on fiscal deficit: mounting fiscal deficit has been a serious threat to the process of investment in the Indian economy. From as high as 8.5% of GDP has been brought down to around 3.5% of GDP.

Q12. Explain briefly the reforms in the financial sector and reforms in the foreign trade sector under liberalisation policy.

Ans. Main reforms in the financial sector were:

(i) A reduced control of RBI and commercial banks be statutory deputy ratio and cash reserve ratio reduced see free determination of interest rate by the market forces of demand and supply

(ii) Foreign investment limit in banks increased

Main reforms in the foreign trade sector were:

(i) Dismantling of quantitative restriction on imports and exports

(ii) Reduction of tariff rates

iii) Removal of licensing procedures from imports

Q13. Critically examine the consequences of implementing GST in India.

Ans. The implementation of GST has both advantages and disadvantages in Indian economy.

Advantages /Benefits of GST

Wider tax base, necessary for lowering the tax rates and eliminating classification disputes

Elimination of multiplicity of taxes and their cascading effects.

Rationalization of tax structure and simplification of compliance procedures.

Eliminates the multiplicity of taxation.

Disadvantages/demerits of GST

Businesses are required to register for GST in each state they operate in.

New start-ups or small businesses who lack knowledge of GST may require hiring professionals for managing their taxes.

Luxury items to get costly

Right after implementation of demonetization bill and now GST bill India's economy will take approximately 1-2 years to become stable.

Q14. Explain the liberalization measures undertaken in the industrial sector of India in the post reform period.

Ans. Industrial sector reforms

Industrial licensing was abolished for all projects except in 18 industries. (Alcohol, cigarettes, drugs & pharmaceuticals, hazardous chemicals, industrial explosives, electronics, aerospace etc.)

Areas reserved for the public sector were narrowed down and greater participation by private sector was permitted in core and basic industries. The new policy reduced the number of areas reserved from 17 to 8. These eight are mainly those involving strategic and security concerns. (Example, railways, atomic energy generation, defence equipment's etc.)

The policy encouraged disinvestment of government holdings of equity share capital of public sector enterprises.

The public sector units were provided greater autonomy and professional management.

Q15. Explain any four negative impacts of liberalisation and globalisation.

Ans. The new economic reforms have been criticised on various grounds:

Acute Inequality: A Biggest consequence is acute inequality. the new reforms 1991 have increased the income of only high-income groups and the poor have been left out of the benefits of the reforms.

Variation in economic growth: It is among the Indian States and between the States and between the rural and urban areas. The growth has been concentrated only in some selected areas in the service sector such as telecommunication, travel, hospitality services etc.

Jobless growth: Globalisation which brought about free movement of goods and services from rest of the world has had an adverse effect on the domestic industries and thereby employment opportunities. Job creation in the urban technology sector does little to create economic gains for India' s rural poor which marks as jobless growth

Decline in agricultural growth: This sector has suffered a serious neglect and its growth rate has slipped to a miserably low level due to lack public investment esp. in infrastructure, withdrawal of subsidies, cut in import duties, shift in cropping pattern.

Adverse situation for small farmers: this reform forced the small farmers to compete in a global market where prices of agricultural goods have fallen. reduction of government subsidies has made farming more expensive.

Inadequate public investments in infrastructure: Rural areas are unable to invite massive private participation in its development due to lack of investment in roads and irrigation.

"What the mind of man can conceive and believe, it can achieve" - Napoleon Hill

HUMAN CAPITAL FORMATION IN INDIA

Q1. How does education contribute to human capital formation?

Ans. Education plays a crucial role in contributing to human capital formation. It empowers individuals with skills, knowledge, and abilities that enhance their overall potential and contribute to the betterment of society as a whole. Following points highlight the role of education in human capital formation:

(i) It develops knowledge, skills and abilities of the people. (ii) It supports science and technology.

(iii) It produces responsible citizens. (iv) Education fosters active citizenship and civic participation.

Q2. Human capital formation increases the efficiency of physical capital. How?

Ans. (i) Human capital formation leads to higher level of skill and expertise. Accordingly, labour force is better equipped to handle physical capital (plant and machinery). This raises the efficiency of physical capital by way of higher output per unit of input.

(ii) Human capital formation leads to innovation. Which facilitates proper utilisation of available resources for economic development.

Q3. Why do so many children dropout from different levels of education in India?

Ans. Many children dropout from different levels of education in India due to following reasons:

Poverty: Because of absolute level of poverty there is crisis of bread, so the children start earning even before completing their education.

Lack of awareness: Many parents are not aware about the importance of education so they do not take serious efforts for the education of their children.

Lack of infrastructure: In rural areas there is lack of infrastructure which is also a hindrance in education.

Q4. Discuss the need for promoting women's education in India.

Ans. Women Education Council has been set up to provide technical education to the women. It has set up many women polytechnics. It is essential to promote women' s education in India to

(i) Improve women's economic independence and their social status. (ii) Reducing gender inequality (iii) Building bright future for all (iv) Make a favourable impact on fertility rate and health care of women and children

Q5. "Recently the government of India has taken a few steps to reach the 6% growth goal as recommended by the Education Commission, 1964". Do you agree with the given statement? Give reasons in support of your answer.

Ans. The given statement is correct to a considerable extent:

(i) In 2009, the government of India enacted the Right to Education Act to make free education a fundamental right of all children in the age group of 6-14 years.

(ii) Government of India has also been started levying a 4 percent education cess on all union taxes. The revenue from education taxes has been earmarked for spending on elementary education.

The government also sanctions a large outlay for the promotion of higher education and new loan schemes for students to pursue higher education.

Q6. In your view, is it essential for the government to regulate the fee structure in education and health care institutions? If so, why?

Ans. Yes, government intervention is necessary in regulating the fee structure in education and health care institutions:

(i) To maintain uniformity. (ii) To have accountability.

People in poor country like ours cannot afford high price for education and health. So, to help poorer people.

Q7. Human development and human capital are related but not exactly same. Give your arguments in support of this statement.

Ans. Human development and human capital are two related but distinct concepts. We can prove it as below:

(i) Human development refers to the overall improvement in the quality of life and well-being of individuals and societies. Whereas human capital refers economic value of an individual's skills, knowledge, and abilities.

(ii) The success of human development is often measured by indicators such as life expectancy, education levels, healthcare access, gender equality, and poverty reduction. Whereas human capital's success is measured in terms of an individual's marketable skills, their capacity to contribute to economic growth, and their potential to enhance productivity and innovation.

(iii) Investments in healthcare, education, and social safety nets are crucial to achieving human development goals. On the other hand, the primary goal of human capital is to enhance economic productivity and competitiveness.

Q8. Is expenditure on migration a source of human capital formation?

Ans. Migration contributes to human capital formation as it facilitates utilisation of inactive skills of the people, or it facilitates fuller utilisation of the people's skills. People migrate for better job opportunities. The gains of migrations are greater than cost of migration, so migration leads to human capital formation.

Q9. Read the following statements carefully. Write True / False with a reason.

(i) Vocationalisation of education is an essential ingredient of human capital formation.

(ii) Rising population is a serious roadblock in the process of human capital formation in India,

(iii) Migration facilitates utilisation of human capital.

(iv)Human capital and human development are identical concepts.

Ans. (i) True. Because vocationalisation imparts skill and expertise to the potential workforce.

(ii) True. Because it reduces the quality of life and capacities to acquire knowledge and specialised skills.

(iii) True. Because it facilitates better utilisation of inactive skills of the people and hence leads to human capital formation.

(iv) False. Human capital and human development are distinct though related concept. Human capital consists of know-how, abilities and expertise used as inputs in the production process. Human development refers to development of the individuals as distinct personality by acquiring good education and health.

Q10. What do you mean by human capital formation? Explain the determinants of human capital formation.

Ans. Human capital formation is the process of developing human capital to the existing stock of human resource.

Main determinants of human capital are explained as below:

1.Expenditure on Education: Education increases the productive capacity and productivity of a Nation's workforce by honing their skills. Further, education increases the acceptability of the modern techniques and also facilitates a primitive economy to break the shackles of tradition and backwardness. Therefore, investment in education must be accorded high priority in a country.

2.Expenditure on Health: There is a saying "The greatest wealth is health". Investment in health sector increases efficiency, efficacy and productivity of a nation's workforce. In contrast to an unhealthy person, a healthy person can work better with more efficiency and, consequently, can contribute relatively more to the GDP of a country. Good health and medical facilities not only increase the life expectancy but also improve quality and standard of living.

3.On-the-job-Training: Training refers to the act of acquiring skills, knowledge and competency required to perform a particular job efficiently and effectively. It helps the workers to sharpen their specialised skills. It enables them to raise their productivity and efficiency.

4.Migration: Migration refers to the movement of people from underdeveloped or developing countries to developed countries in search of better avenues. Migrations contribute to human capital formation as it facilitates the utilisation of inactive or underdeveloped skills of an individual. People migrate in search of better job opportunities.

5.Expenditure on Information: The degree of availability of jobs, salaries and admissions related information also plays an important role in the determination of human capital. The availability of jobs and admissions related information not only helps the students to opt for the best choice according to their interest areas but also lead to the effective utilisation of human skills and knowledge. Similarly, the availability of medical information and health awareness determines the health of the people.

Q11. Explain the problems facing human capital formation in India.

Ans. The main problems of human capital formation in India are as follows:

1.Rising Population: Rapidly rising population adversely affects the quality of human capital in under developed and developing countries like India. It reduces per head availability of existing facilities like sanitation, employment, drainage, water system, housing, hospitals, education, food supply, nutrition, roads, electricity, etc.

2. Brain Drain: Migration of highly skilled labour from a country to other country is termed as brain drain. This slow down the process of human capital formation in the domestic economy.

3. Inefficient of Manpower Planning: There is inefficient manpower planning in India, no efforts have been made either to raise the standard of education at different stages to maintain the demand and supply of technical labour force. It is a sad reflection on the wastage of human power and human skill.

4. Long-term Process: The process of human development is a long-term policy because skill formation takes time. The process which produces skilled manpower is thus, slow. This also lowers our competitiveness in the international market of human capital.

5. High Poverty Levels: A large proportion of the population lives below poverty line and do not have access to basic health and educational facilities. A large section of society cannot afford to get higher education or expensive medical treatment for major disease.

Q12. What should be the principal objectives of education in India? Give your opinion.

Ans. In view of the present scenario, the following should be the objectives of education in India:

1.Universal literacy: The first and foremost objective should be that of ensuring a hundred percent literacy in the country, as even after nearly 76 years of independence, around 26% of the population is illiterate.

2. Vocationalisation of education: In India educated unemployment is emerging as a most harsh reality. That is a reflection of lack of vocational training in our education system. So, we should focus on the vocationalisation of our education, it should not be only degree-oriented.

3. Higher education: More focus on higher education is needed because gross enrolment in higher education is still very low. Especially in rural areas and among girls. Adult and female education: We should stress on adult and female education. Adult education and female education are important for proper utilisation of man power in India.

4. Aims of the social order: Our education system must find its guiding principle in the aims of the social order for which it prepares. Unless we preserve the value of democracy, justice, liberty, equality and fraternity, we cannot Preserves our freedom.

5. Wisdom and knowledge: Since education is both a training of minds and training of souls, it should give both knowledge and wisdom. No amount of factual information would take ordinarily into educated men unless something is awakened in them. Therefore, there should be inculcation of wisdom and knowledge.

6. Love for higher values of life: The greatness of a country does not depend on the extent of its territory, the length of its communication or the amount of its wealth, but on the love for higher values of life. We must develop thought for the poor and sufferings, regards and respect for women, faith in brotherhood regardless of race, colour, religion etc.

Q13. What is human capital? Explain the role of human capital in economic growth / development of a country.

Ans. Human capital refers to the skill, ability, expertise, education and knowledge in a nation at a point of time. So, it is the stock of professionals and skilled people of all types who are engaged in the production process.

Economic growth may be defined as the increase in the money value of all goods and services produced in the economy in an accounting year. So, the role of human capital formation in increasing economic growth and development may be visualised as below:

(i) Human capital formation raises production (ii) It raises efficiency and productivity (iii) It brings positive changes in outlook and attitudes (iv) It improves quality of life (v) It raises life expectancy (vi) It raises social justice.

Q14. Distinguish between Human Capital and Human Development.

Ans.

Human capital	Human development
1. It refers to the stock of educated, skilled, experienced and healthy people of a nation at a point of time. 2. According to Human capital education and health are just the means or methods to increase Income. 3. Human Capital focuses only on economic aspect. 4. In this view, any investment in education and health is unproductive/useless if it does not increase income. 5.It a narrow concept.	1. It refers to increase in welfare of people by acquiring (getting) good health, education and training. 2. According to Human development education and health are necessary for human welfare. 3. Human development focuses on both economic as well as social aspect. 4. In this view, any investment in education and health is not useless as it at least increases human welfare. 5.It is a wider concept.

RURAL DEVELOPMENT

Q1. What do you mean by the terms Rural Development? State any two-challenge facing rural development in India.

Ans. Rural Development refers to a continuous and comprehensive socio-economic process, attempting to improve all aspects of rural life.

The three challenges facing rural development in India are:

(i) Infrastructure development: Basic infrastructure requirements like electricity, irrigation, credit availability, transport facility, construction of village roads to nearby highways etc. Are the areas which still need attention of the government so as to gain commanding heights.

(ii) Alleviation of poverty: In rural areas of India should be taken as a mission for improvement in the living conditions of particular those living at the bottom of the pyramid. This problem may be tracked by emphasising or great access to productive employment opportunities.

(iii) Development of human capital: Rural capital must be developed by taking sincere steps in the direction of education and health. It means enabling them better and more affordable access to healthcare, sanitation facilities at home and work place and education for all must be given top priority for rapid rural development.

Q2. Mention briefly the problems related to agricultural finance in India.

Ans. Rural banking has expanded a great deal in India. but there are certain deficiencies which have led to the problems related to agricultural finance. these are;

(i) Credit has been linked with collateral because of which small and marginal farmers have not been the major beneficiary of it,

(ii) The government has been very lenient on the recovery of loans from the farmers because of which there is a large number of overdue instalments.

(iii) Most financial institutions have failed to develop the culture of thrift among the farming families.

(iv) Mobilization of deposits has never been encouraged.

Q3. 'Cooperative marketing is a measure to ensure a fair price to farmers.' Justify the statement with valid reason.

Ans. Cooperative marketing links rural credit, farming and marketing processes to the best advantage of the farmers.

(i) Member farmers sell their surplus to the cooperative society, which substitutes collective bargaining in place of individual bargaining.

(ii) It advances loans to member farmers and enables them to wait for better prices.

(iii) Through proper storage facilities, transport facilities, direct marketing and a control on the supply of agricultural goods it enables the member farmers to fetch a better price for their produce.

Q4. Discuss the importance of organic farming.

Ans. In organic farming we use only organic inputs for cultivation: like dung of animals as fertilizers and natural chemicals as pesticides.

Importance of organic farming:

(i) It is environmentally friendly. (ii) It increases the employment level in the economy. (iii) It is good for soil health. (iv) It produces tasty and healthier food. (v) It is labour intensive

Q5. Discuss any two steps taken by the government in the direction of improving agricultural marketing system in India since independence.

Ans. Two major steps taken by the government in the direction of improving agriculture marketing system in India since Independence are:

(i) Regulation of markets: this step was necessary in the post-independence period so as to create an orderly and transparent marketing condition across India. This policy benefitted both farmers as well as consumers.

(ii) Physical infrastructure: This is another important aspect tackled by the government. Improvement of physical infrastructure facilities like roads, railways, warehouses, cold storage., processing units etc

Q6. What do you mean by rural development? Bring out the key issues in rural development.

Ans. Rural Development refers to a continuous and comprehensive socio-economic process, attempting to improve all aspects of rural life. Some of the key issues in rural development include:

Development of Human Resources: The quality of the human resource needs to be improved by giving proper attention to literacy and better Health facilities.

Development of infrastructure: It involves improvement in electricity, irrigation, credit, marketing and transport facilities.

Land Reforms: It includes: (i) Elimination of exploitation in land relations; (ii) Actualisation of the goal of land to the tiller (iii) Improvement of socio-economic conditions of rural poor by widening their land base; (iv) Increasing agricultural productivity and production.

Q7. Discuss the Different Policy Instruments' initiated by the government to improve Agricultural Marketing.

Ans. Government initiated the following policies:

(i) Minimum Support Prices (MSP): To safeguard the interest of farmers, the government fixes the minimum support prices of agricultural products, like wheat, rice, etc. Such a price may be regarded as an offer price, at which the Government is willing to buy any number of grains from the farmers.

(ii) Maintenance of Buffer Stocks: The Food Corporation of India (FCI) purchases wheat and rice at the procurement prices, to maintain buffer stock. It helps to ensure regularity in supply & stability in prices.

(iii) Public Distribution System (PDS): PDS operates through a network of ration shops and fair price shops, which offer essential commodities at a price below the market price, to the weaker sections of the society.

Q8. Explain the role of microcredit in meeting credit requirements of the poor. OR Discuss briefly the importance of micro-credit programmes in rural development.

Ans. Micro-credit or Self-Help Group (SHG) has emerged as the major micro finance programme in the country in recent years.
(i) Their focus is largely on those rural poor, who have no sustainable access to the formal banking system. So, their target groups are small and marginal farmers, agricultural and non-agricultural labourers, artisans, etc.
(ii) SHS promotes thrift in small proportions by a minimum contribution from each member.
(iii) From the pooled money, credit is given to the needy members at reasonable interest rates, which is to be repaid in small instalments.

Q9. 'The challenge is to build cost effective IT based system to improve the living standard of Indian rural population. 'Justify the statement.

Ans. Use of IT in rural development in India:
(i) If farmers can plan their crop according to the need that is likely to generate in future, then the gap between the demand and supply can be bridged. Information technology assists in making databases available to such farmers with regard to the returns, the market is likely to generate by the time the crops are ready. This would minimise the uncertainty of the farmer.
(ii) The quality and quantity of crops can be increased manifold if the farmers are made aware of the latest equipment, technologies and resources. Internet is a friendly user-friendly medium, which provides a platform for easy exchange of information on a global level.
(iii) Issues like weather forecast, crop treatment, fertiliser, pesticides, storage condition etc. can be well administered, if expert opinion is made available to the farmer with the help of information technology, the crutches of the middlemen can be done away with and the farmers can get a clear vision about the market, latest technologies and hence channelise their potential accordingly. This would make them self-sufficient and yield planned crops with a ready market.

Q10. Mention some obstacles that hinder the mechanism of agricultural marketing.

Ans. Some of the obstacles that hinder the mechanism of agricultural marketing are:
(i) Agricultural markets are still dominated by the private traders like moneylenders, rural political leaders. big merchants and rich farmers.
(ii) The quantity of agricultural products, handled by the government agencies and consumer cooperatives. constitutes only 10%, while the rest is handled by the private sector.
(iii) Lack of Storage Facility: The facilities available for storing the food grains and commercial crops are far from satisfactory.
(iv) Lack of Transportation: Due to absence of proper road transportation facilities, they have to sell their produce at the village markets itself.

Q11. Explain the role of non-farm employment in promoting rural diversification.

Ans. The following are the importance of non-farm employment opportunities in promoting rural diversification
(i) There is greater risk in depending exclusively on farming for livelihood. Non-farm employment provides productive sustainable livelihood options to rural people.
(ii) Most of the agricultural employment activities are concentrated in the Kharif season. However, during the Rabi season, it becomes difficult to find gainful employment in the areas where there are inadequate irrigation facilities. So, diversification into non-farm areas proves to be crucial.
(iii) Non-farm Activities have several segments. Some segments of non-farm activities possess dynamic linkages that permit healthy growth. as an input for the large-scale industries
(iv) The output of non-farm sectors acts as an input for large scale industries. For e.g.: agro processing industries, leather industry, etc.

Q12. Information technology plays a very significant role in achieving sustainable development and food security-comment.

Ans. Information Technology (IT) has revolutionised many sectors in the Indian economy. It is widely accepted that IT will play a critical role in achieving sustainable development and food security in the 21 century.
(i) Through appropriate information and software tools, government has been able to predict areas of food insecurity and vulnerability, to prevent or reduce the likelihood of an emergency.
(ii) IT also circulates information regarding emerging technologies and its applications, prices, weather and soil conditions for growing different crops, etc.
(iii) IT sector is also generating employment opportunities in the backward areas. For example, info kiosks (ie. PCs with internet, scanner, etc.) have been started in the rural areas, to enable the kiosk owner ea a reasonable income by providing different services like e-mail, video-conferencing, etc.

(iv) IT aims to make every village a knowledge centre, where it provides a sustainable option of employment.

Q13. "Regulation of Agricultural Marketing is pre-requisite for rural development" Illustrate.

Ans. Agricultural marketing refers to the entire system under which the farmers can dispose of their surplus produce. It includes all operations like, grading, storing, transporting and distribution of agricultural commodities, throughout the country.

The first step was regulation of markets to create orderly and transparent marketing conditions. By and large, this policy benefited farmers as well as consumers. However, there is still a need to develop about 27,000 rural periodic markets as regulated market places to realise the full potential of rural markets.

Second component is provision of physical infrastructure facilities like roads, railways, warehouses, godowns, cold storages and processing units. The current infrastructure facilities are quite inadequate to meet the growing demand and need to be improved.

Cooperative marketing, in realising fair prices for farmers' products, is the third aspect of government initiative. The success of milk cooperatives in transforming the social and economic landscape of Gujarat and some other parts of the country is testimony to the role of cooperatives. However, cooperatives have received a setback during the recent past due to inadequate coverage of farmer members, lack of appropriate link between marketing and processing cooperatives and inefficient financial management.

The fourth element is the policy instruments like (i) assurance of minimum support prices (MSP) for agricultural products (ii) maintenance of buffer stocks of wheat and rice by Food Corporation of India and (iii) distribution of food grains and sugar through PDS. These instruments are aimed at protecting the income of the farmers and providing food grains at a subsidised rate to the poor. However, despite government intervention, private trade (by moneylenders, rural political elites, big merchants and rich farmers) predominates agricultural markets.

Q14. What do you mean by Rural Credit system? Explain.

Ans. Rural Credit System

In order to provide credit or loan facilities to farmers for production needs, the government has set up a rural financing system. The National Bank for Agriculture and Rural Development (NABARD) was set up in 1982 as an apex body. The rural banking helps the farmers to avail services, credit facilities and variety of loans for various needs.

The institutional structure of rural banking today consists of a set of multi-agency institutions, namely Commercial Banks, Regional Rural Banks (RRB), Cooperative Credit Societies and Land Development Banks. The major aim of designing this multi-agency system is to dispense adequate credit at cheaper rates.

Micro credit Or Micro finance is a scheme extended to the poor through Self Help Group (SHGs) and Non-Government Organisation (NGOs). They promote thrift in small proportion by a minimum contribution from each member. From the pooled money, credit is given to needy members of SHGs.

Q15. What do you mean by Organic Farming? Write its benefits. What are the limitations of Organic farming?

Ans. Organic farming is a whole system of farming that restores, maintains and enhances the ecological balance.

Benefits of organic farming

(i) It enhances soil structures; conserves water and ensures the conservation and sustainable use of natural resources.

(ii) It reduces damage to the environment by refraining from the use of synthetic fertilizers and pesticides, genetically modified organisms and pharmaceuticals. Pests and diseases are controlled with naturally occurring means and substances according to both traditional as well as modern scientific knowledge increasing both agricultural yields and disease resistance.

(iii) It adheres to globally accepted principles which are implemented to encourage sustainable development and protect the environment.

Limitations/Drawbacks of Organic farming:

(i) In the initial years the cost of production may be high due to lack of knowledge.

(ii) Organic farming needs to be popularized by creating awareness and willingness on the part of the farmers for adoption of new methods.

(iii) There is no proper infrastructure and marketing facilities for these products.

(iv) The yields from organic farming are less than modern agricultural farming.

(v) There is little scope for off season crops.

(vi) Organically produced food is more expensive and therefore the poor cannot afford it.

EMPLOYMENT: GROWTH, INFORMALISATION AND OTHER ISSUES

Q1. What is the role of "Make in India" in employment?

Ans. One of the benefits of the 'Make in India' campaign is that it will create jobs in the country, as the demand for employees will rise if manufacturing firms increase. A decrease in the unemployment rate will affect the government as lesser unemployment benefits will be given out than earlier.

Q2. Read the following statement carefully. Write true or false with reason. "In India, casualization of workforce has intended to rise over time."

Ans. True, the lack of formal employment arrangements and the resulting ambiguity about the terms and conditions of employment are more widespread in the developing world. Self-employment is widespread as the main form of employment, especially during periods of economic downturn.

Q3. Distinguish between self-employed workers and hired workers.

Ans.

Self-employed workers	Hired workers
1.These are the workers, who are working in their own business or profession.	1.These are the workers, who are hired by others.
2. They earn profit as a reward for their services.	2. They are paid wages or salaries as a reward for their services.
3. Example: A farmer working on his own farm.	3. Example: A teacher working in a school.

Q4. Differentiate between labour force and labour supply.

Ans.

Labour Force	Labour Supply
1.It refers to the number of persons actually working or willing to work.	1.It refers to supply of labour corresponding to different wage rates.
2. It is not related to wage rate.	2. It is always related to wage rate.
3. It is measured in terms of the number of persons not in terms of person days.	3. It is measured in terms of man-days or person-days.
4. It can increase or decrease only when the number of persons actually, working or willing to work increases or decreases.	4. It can increase or decrease even when the number of workers remains constant.

Q5. Who is a casual wage labourer?

Ans. Casual workers refer to those workers, who do not earn regular wages and do not have regular employment throughout the year. They work tor few months or days and earn wages for the work done Casual workers are not hired by employers on a regular basis. They do not enjoy social security benefits like provident fund, gratuity, etc. They are generally unskilled workers, e.g., workers working at a construction site.

Q6. State giving valid reasons, whether the followings statements are true or false:

(i) There is no difference between workforce and labour force.

(ii) Lower employment among women in India points to our economic and social backwardness.

Ans. (i) False, labour force different from work force.

Labour force refers to the number of people who are able to work and willing to work at the existing wage rate. Workforce on the other hand refers to the number of people who are actually engage in employment.

(ii) True, lower employment among women in India points to our economic and social backwardness. It leads to economic backwardness because the economy fails to generate enough jobs. It leads to social backwardness because job work for the women is considered as a social taboo.

Q7. Apoorva noticed that the last 5 decades (1972-2018) there is a growing trend of "casualisation of workforce" What does this mean? Is it good for the economy.

Ans. The process of moving from self-employment and regular salaried employment to casual wage force. This is called casualisation of work.

This takes place due to the non-availability of the jobs in regular employment sector and less self-employment opportunities. It is not a good indicator of development because the workers are highly vulnerable in casual work.

Q8. "Governments have played an important role in generating employment or creating opportunities for employment generation through their direct and indirect efforts." Defend or refute the given statement with valid reason.

Ans. Since Independence, the Union and State governments have played an important role in generating employment or creating opportunities for employment generation. Their efforts can be broadly categorised into two − direct and indirect.

"What the mind of man can conceive and believe, it can achieve" - Napoleon Hill

In the first category, the government employs people in various departments for administrative purposes. It also runs industries, hotels and transport companies, and hence, provides employment directly to workers. When the output of goods and services from government enterprises increase, then private enterprises which receive raw materials from government enterprises will also raise their output and hence increase the number of employment opportunities in the economy.

For example, when a government owned steel company increases its output, it will result in direct increase in employment in that government company. Simultaneously, private companies, which purchase steel from it, will also increase their output and thus employment. This is the indirect generation of employment opportunities by the government initiatives in the economy.

Q9. What do you mean by informalisation of workforce? Distinguish between formal workers and informal workers.

Ans. Informalisation of workforce is defined as a situation where percentage of workforce in the formal sector tends to decline and that in the informal sector tends to rise. Informalisation of workforce leads to casualization of workforce. As a result, labour market becomes more uncertain.

We can differentiate formal workers and informal workers as follows:

Formal Workers	Informal workers
1.They work in organised sector of the economy.	1.They work in unorganised sector of the economy.
2. They are entitled to social security benefits like provident fund, gratuity, pension etc.	2. They are not entitled to social security benefits.
3. They can form trade unions.	3. They cannot form trade unions.
4. They are protected by various labour laws against uncertainties of the market.	4. They are not protected by various labour laws against uncertainties of the market. Hence highly vulnerable.
5. Formal workers are like regular workers.	5. Informal workers are like daily wagers.

Q10. Define the term "worker". Explain some programs launched by the government to generate employment in India.

Ans. A worker is an individual who is in some employment to earn a living, and thus contributes to the GDP of a country.

Some programs started by the government to generate employment opportunities are as below:

Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA): MGNREGA is to provide at least 100 days of guaranteed wage employment in a financial year to every rural household whose adult members volunteer to do unskilled manual work.

Make in India: 'Make in India' initiative was launched on September 25, 2014 with the objective of facilitating investment, fostering innovation, building best in class manufacturing infrastructure, making it easy to do business and enhancing skill development.

Start Up India: Start-up India is a flagship initiative of the Government of India, intended to catalyse start-up culture and build a strong and inclusive ecosystem for innovation and entrepreneurship in India.

Stand up India: Stand-Up India Scheme for financing SC/ST and/or Women Entrepreneurs. The objective of the Stand-Up India scheme is to facilitate bank loans between 10 lakh and 1 Crore to at least one Scheduled Caste (SC) or Scheduled Tribe (ST) borrower and at least one-woman borrower per bank branch for setting up a greenfield enterprise. This enterprise may be in manufacturing, services, agri-allied activities or the trading sector.

Pradhan Mantri Kaushal Vikas Yojana (PMKVY): Pradhan Mantri Kaushal Vikas Yojana (PMKVY) is the flagship scheme of the Ministry of Skill Development and Entrepreneurship (MSDE) implemented by National Skill Development Corporation (NSDC). The objective of this Skill Certification scheme is to enable Indian youth to take up industry relevant skill training that will help them in securing a better livelihood.

Pradhan Mantri MUDRA Yojana (PMMY): Pradhan Mantri MUDRA Yojana (PMMY) is a scheme launched by the Hon' ble Prime Minister on April 8, 2015 for providing loans up to 10 lakhs to the non-corporate, non-farm small/micro enterprises. These loans are classified as MUDRA loans under PMMY. These loans are given by Commercial Banks, RRBs, Small Finance Banks, MFIs and NBFCs.

Prime Minister's Employment Generation Programme (PMEGP): Prime Minister' s Employment Generation Programme (PMEGP), which is a major credit-linked subsidy programme aimed at generating self-employment opportunities through establishment of micro-enterprises in the non-farm sector by helping traditional artisans and unemployed youth.

Q11. What is meant by unemployment? Explain the causes of unemployment in India.

Ans. Unemployment refers to a situation when capable and willing people are ready to work at the existing wage rate but are not getting work.
Causes of unemployment are explained below:
(i) Slow economic growth: In Indian economy, the rate of economic growth is very slow. This slow growth rate fails to provide enough employment opportunities to the rising population. Supply of labour is much more than the available employment opportunities.
(ii) Rapid growth of population: Constant increase in population has been a grave problem of India. It is one of the main causes of unemployment. The number of unemployed persons has actually increased instead of decreasing during the plan period.
(iii) Faulty employment planning: The Five-Year Plans in India have not been designed for employment generation. A frontal attack to solve the problem of unemployment was missing. In the FYPs, it was assumed that economic growth will take care of unemployment problem.
(iv) Excessive use of foreign technology: There is lack of scientific and technical research in India due to its high cost. This has resulted in excessive use of foreign technology which has led to technical unemployment in our country.
(v) Lack of financial resources: The expansion and diversification programme of agriculture and small-scale industries have suffered because of lack of financial resources.
(vi) Agriculture still a seasonal occupation: Even after approximately 70 years of Independence, agriculture in India, still does not have access to adequate irrigation facilities, rendering it to be a seasonal occupation. Because of this, the workforce engaged in farming activities remain unemployed for 3-4 months in a year.
(vii) Decay of cottage and small industries: The cottage and small industries are labour-intensive and generate a number of employment opportunities. But the British rule led to their decay and the government of independent India did not initiate adequate measures for their revival. This compounded the problem of unemployment.
(viii) Low savings and investment: In India, a low rate of capital formation prevails due to low savings and investment. Shortage of capital prevents a business to expand and grow, thus limiting their power to generate employment.
(ix) Immobility of labour: In India, mobility of labour is quite low. Because of family obligations, social constraints, language and cultural barriers, people are unwilling to move to a new place when offered a job there. This is also a cause for unemployment in India.

ENVIRONMENT AND SUSTAINABLE DEVELOPMENT

Q1. 'Pesticides are chemical compounds designed to kill pests. Many pesticides can also pose health risks to people even if exposed to nominal quantities.' In the light of the above statement, suggest any two traditional methods for replacement of the chemical pesticides.
Ans. The traditional practices can help in controlling contamination without the use of chemical fertilizers, as follows:
(i) Neem trees and its by products are a natural pest-controller, which has been used since ages in India. Recently, the government promoted the sale Neem coated urea as a measure of natural pest control.
(ii) Large variety of birds should be allowed to dwell around the agricultural areas, they can clear large varieties of pests including.
Q2. "If rate of resource extraction exceeds the rate of regeneration, it leads to reduction in carrying capacity of the environment." Discuss the rationale of the given statement with valid reasons.
Ans. The environment is able to perform its functions uninterruptedly so long as the demand for these functions is within the carrying capacity of the environment. This means that the resources are not extracted beyond the rate of their regeneration. If there is a disequilibrium (demand being more than supply), the environment fails to replenish itself and it will lead to environmental crisis. Thus, to maintain a healthy environment, the carrying capacity of the environment must be valued and respected.
Q3. "Recently India have drifted away from the traditional knowledge and practices and caused large scale damage t environment." Explain how adopting the traditional practices can be helpful in achieving the objective of sustainable development?
Ans. The given statement is quite appropriate. Indian traditional practices were environment friendly and worked as complementary to the system and not its controller. The traditional agriculture system, healthcare system, housing, transport, etc. were intrinsically environment friendly. The traditional practices and natural products and processes

which are more or less free from side effects. For example, by adopting medicinal plants/products, we can conserve the resources and achieve the objective of sustainable development.

Q4. What are the functions of environment? OR What are the four vital functions of the environment?

Ans. Functions of Environment-

(i) Environment Supplies Resources: Resources include both renewable and non-renewable. Renewable resources are those which can be used without the possibility of the resource becoming depleted or exhausted. In other words, a continuous supply of the resource remains available. Examples of renewable resources are trees in the forest and fish in the ocean. Non-renewable resources are those which get exhausted with extraction and use, e.g. fossil fuels.

(ii) Environment Sustains Life: Environment includes sun, soil, water and air which are essential elements for the sustenance of human life. The carrying capacity of the environment implies that the resource extraction is not above the rate of regeneration of the resources and the waste generated are within the assimilating capacity of the environment. Carrying capacity of the environment helps to sustain life. Absence of carrying capacity of environments means absence of life.

(iii) Environment Assimilates Waste: Production and consumption activities generate waste. This occurs mostly in the form of garbage. Environment absorbs garbage

(iv) Enhances Quality of Life: Environment Enhances Quality of Life and it provides aesthetic services. Environment includes oceans, mountains, deserts, etc. Man enjoys these surroundings, adding to the quality of life.

Q5. What do you mean by carrying capacity of the environment?

Ans. Carrying capacity implies two things: Capacity of the environment to assimilate waste and withstand the extraction of resources.

(i) Resource extraction should remain below the rate of resource regeneration.

(ii) Generation of wastes should remain within the absorption capacity of the environment.

Q6. What is environmental Crisis? What are the factors responsible for the Crisis?

Ans. Environmental Crisis: When the rate of resources extraction exceeds that of their regeneration then environment fails to perform its vital function of life substance and it leads to the situation of Environmental Crisis.

The various reasons f or environmental crisis are as under:

(i) Population explosion and advent of industrial revolution.

(ii) The intensive and extensive extraction of both renewable and non-renewable resources.

(iii) The affluent consumption and production standards of developed countries

Q7. **Provide an example of how increasing affluence can lead to environmental challenges. Suggest two policy measures that governments can adopt to prevent falling into the affluence trap and promote more sustainable consumption pattern.**

Ans. The "affluence trap" refers to a situation where increasing affluence and economic growth result in higher consumption and resource use, leading to environmental degradation and unsustainable practices.

Example: As a country's economy grows, there is often a rise in consumerism and energy intensive industries. Increased affluence can lead to higher levels of waste generation, air pollution, and greenhouse gas emissions, thereby contributing to environmental challenges Policy measures to prevent the affluence trap:

(i) Green Taxation: Governments can impose taxes on resource-intensive products or activities, discouraging excessive consumption and promoting sustainable alternatives.

(ii) Circular Economy Promotion: Encouraging the adoption of circular economy principles, such as recycling, reuse, and repair, reduces the demand for new resources and products.

Q8. What are the two major environmental issues facing the world today? Explain each.

Ans. (i) Global warming: Global warming refers to gradual increase in the average temperature of earth's atmosphere and ocean. It is caused by the emission of Green House Gases, particularly, carbon dioxide. The increase in the level of carbon dioxide raises the temperature of the earth surface, accelerating the melting of polar ice. This leads to the rise in the sea level. Thus, the disturbed ecological balance leads to increasing natural calamities, posing a threat to human survival.

(ii) Ozone depletion: Ozone acts as a cover for the earth surface that is very essential for the sustenance of life. It prevents the harmful ultra violet radiations from penetrating the earth surface. But its depletion is becoming a global concern these days. This is due to the excessive use of cooling substances in the air conditioners and the refrigerators. As ozone gets depleted, the possibility of ultra violet radiations penetrating to the earth surface increases posing a threat to the life on earth.

Q9. What are functions of Central Pollution Control Board?

Ans. The government set up central pollution control board (CPCB) in 1974. The main functions are as follows:

(i) The board investigates, collects and disseminates information relating to pollution.
(ii) They provide technical assistance to the government in implementing the rules related to pollution control.
(iii) They carry out awareness program through mass media.
(iv) They prepare code and guidelines related to the control of pollution.
(v) They assess air quality through regulation of industries.

Q10. Explain how the opportunity costs of negative environmental impact are high.

Ans. The intensive and extensive extraction of both renewable and non-renewable resources has exhausted some of these vital resources and we are compelled to spend huge amounts on technology and research to explore new resources.

The expenditure on health is also rising. To make matters worse, global environmental issues such as global warming and ozone depletion also contribute to increased financial commitments for the government.

Thus, it is clear that the opportunity costs of negative environmental impacts are high.

Q11. "It is our moral and social responsibility to work hard for sustainable development." If yes, what should be done to achieve the objective of sustainable development?

Ans. Yes, I fully agree with the contention that it is the collective moral and social responsibility to work for a sustained development.

The causal factors must be addressed in the light of worsening conditions which have wreaked havoc on our environment.

Awareness must be created on the probable fall outs of exploiting the environment incessantly.

Usage of environmentally harmful substances must be gradually phased out after identifying less harmful alternatives for sustained growth.

If the need arises, products can be banned and penalties levied to serve as a deterrent.

Q12. Explain How the opportunity costs of Negative environment impacts are High.

Ans. Opportunity cost of Negative Environmental Impacts refers to the cost we have to pay due to harm caused to the environment.

(i) The past development has polluted and dried up rivers and other aquifers making water an economic good. The intensive and extensive extraction of resources has exhausted some of these environmental resources and we have to spend huge amounts on technology and research to explore new resources.

(ii) We do have to incur a lot on health costs of degraded environmental quality, i.e- Decline in air and water quality has resulted in increased incidence of respiratory and water borne diseases.

(iii) Global environmental issues such as global warming and ozone depletion also contribute to increased financial commitments for the Govts.

The rising temperature of our environment has increased our power consumption on Fans and Air Conditioners leading to additional cost on power consumption.

Q13. Explain how the supply demand reversal of environmental resources account for the current environmental crisis.

Ans. In the initial level of development, the demand for environmental resources was less than that of supply.

D < S.

Now the world is faces with increased demand for environmental resources but their supply turns out to be limited due to overuse and misuse such as petrol and water. So, there is a reversal trend of environmental resources.

D > S

While accounting for current environmental crisis, we find that in India:

(i) There is a threat of poverty induced environmental degradation.

(ii) Threat of pollution from affluence and a rapidly growing industrial sector.

Air Pollution, water contamination, soil erosion, deforestation and wildlife extinction are considered to be the most pressing environmental concerns.

Q14. Define Sustainable Development. Outline the steps involved in attaining sustainable development in India.

Ans. Sustainable development is the development that meets the needs of the present generation without compromising the needs of the future generation so that future generation would not be deprived of.

The steps involved in attaining sustainable development in India are:

(i) Use of non-conventional sources of energy: This will help in reducing our dependency on thermal power and hydel power. Thus, use of non-conventional sources of energy will help in ensuring sustainable development.

(ii) LPG, Gobar gas in rural areas: Use of LPG and gobar gas in rural areas will help in reducing the extraction of firewood for fuel. Thus, it will help in reducing air pollution and felling of trees.

(iii) CNG in urban areas: As the example of Delhi shows, increased use of CNG in urban areas can help in improving air quality.
(iv) Wind power: Wind power is a renewable source of energy and can be harnessed with available technology. Many wind farms are already operational in India.
(v) Solar power through photovoltaic cells: Solar panels are being used for powering traffic lights and hoardings in many cities. Solar cells are also being used in water heaters and for lightning purposes.
(vi) Mini-hydel plants: Mini hydel plants can be ideal for hilly areas which have large number of streams. Mini hydel plants can help in supplying electricity to remote areas and also in preventing transmission losses.
(vii) Traditional Knowledge and Practices (AYUSH) (viii) Biocomputing (ix) Bio pest control (x) Organic Farming

Q15. Discuss the role of international agreements and cooperation in addressing global environmental challenges. Choose one global environmental agreement and explain how it aims to achieve its objectives. Highlight the significance of multilateral efforts in addressing transboundary environmental issues

Ans. International agreements and cooperation play a critical role in addressing global environmental challenges that transcend national boundaries. The "Paris Agreement" is a notable example of a global environmental agreement.
The Paris Agreement aims to combat climate change by limiting global temperature rise to well below 2 degrees Celsius above pre-industrial levels, with efforts to limit it to 1.5 degrees Celsius. Countries pledge to submit nationally determined contributions (NDCs) outlining their climate action plans.
Significance of multilateral efforts:
Transboundary Impact: Environmental challenges like climate change and air pollution affect multiple countries. Multilateral agreements facilitate collaboration in addressing shared problems.
Collective Action: Global agreements ensure that countries work collectively towards common goals, maximizing the impact of efforts and sharing knowledge and resources.

Q16. Define the following:

(a) Carrying capacity of environment

Ans. It implies that the resources extraction is not above the rate of regeneration of the resources and wastes generated are within the assimilating capacity of the environment.

(b) Bio- composting

Ans. It refers to the process of converting organic waste of various types into natural manure.

(c) Sustainable Development

Ans. It refers to the development process that meets the needs of present generation without compromising on the ability of the future generations to meet their respective needs.

(d) Absorptive capacity of the environment

Ans. It means the ability of the environment to absorb degradation without causing environmental damage.

COMPARATIVE DEVELOPMENT EXPERIENCES OF INDIA AND ITS NEIGHBOURS

Q1. Discuss the great "proletarian cultural revolution" introduced in China.

Ans. Great proletarian cultural revolution- in 1965, Mau Seng introduced the great proletarian cultural revolution (1966-67), under which students and professionals were sent to work and learn from the countryside.

Q2. Explain the concept of 'dual pricing' adopted by China.

Ans. The system of dual pricing was introduced. Farmers and industrial units were required to make sale and purchase on the basis of price structure as fixed by the government. Market prices (prices determine by the supply and demand forces) were allowed to operate for all other transactions in the economy.

Q3. Which factors help China to attract more FDI as compared to India and Pakistan?

Ans. China was able to attract more FDI due to its liberal policies, setting up of special economic zones allowing 100% of equity investment to the foreign investors and providing them with developed infrastructural facilities.

Q4. Do you agree with the statement that India has failed as fast as China because it has failed to check the growth rate of its population? Write your view in brief.

Ans. It is true that China has succeeded in controlling the growth rate of its population, while India has failed. Owing to unbridled growth of population, the government in India has failed to reduce the BPL population. This has led to a huge expenditure by way of food subsidy, besides the expenditure related to health, housing and education of the BPL population. While, all such expenditures are welfare- oriented, these are non- productive. Such expenditures do not add to production capacity of the nation, rather they tend erode it. Accordingly, growth process is adversely affected. This is one of the important reasons why India is lagging behind China in the area of economic growth.

Q5. China's rapid industrial growth can be traced back to its reform in 1978. Do you agree? Elucidate.

Ans. Yes, I agree with the given statement. The present day fast industrial growth in China can be traced back to the reforms introduced in phases in 1978. China introduced reforms in phases.
(i) In the initial phase, reforms were initiated in agriculture, foreign trade and investment sectors. In agriculture, commune lands were divided into small plots which were allocated (only for use and not as ownership) to the individual households. They were allowed to keep all the income from the land after paying stipulated taxes.
(ii) In the later phase, reforms were initiated in the industrial sector. Private sector firms and township and village enterprises (enterprises which were owned and operated by local collectives) were allowed to produce goods. At this stage, enterprises owned by government (known as state owned Enterprises or SOEs), were made to face competition.
(iii) The reform processes also involved dual pricing. This means fixing the prices in two ways: (a) Farmers and industrial units were required to buy and sell fixed quantities of inputs and outputs on the basis of prices fixed by the government; (b) For other transactions, the inputs and outputs were purchased and sold and market prices.
In order to attract foreign investors, special economic zones were set up.

Q6. Why did China introduce structural reforms in 1978? Explain.

Ans. The new leadership at that time in China was not happy with the slow pace of growth and lack of modernisation in the Chinese economy under the Maoist rule.
Maoist vision of economic development based on decentralisation, self-sufficiency and shunning of foreign technology, goods and capital had failed.
Despite extensive land reforms, collectivisation, the Great Leap Forward and other initiatives, the per capita grain output in 1978 was the same as it was in the mid-1950s.

Q7. Now-a-days, nations are forming regional and global economic groupings such as the SAARC, European Union, ASEAN, G-8, G-20, BRICS etc. Answer the question as: Why are such regional and economic groupings formed?

Ans. The regional and economic groupings are essential for developing countries as they face competition not only from developed nations but also amongst themselves in the relatively limited economic space enjoyed by the developing world.

Q8. What similar developmental strategies have India and Pakistan followed for their respective developmental path?

Ans. (i) Pakistan like India followed mixed economy model, with the co-existence of public and private sector.
(ii) Pakistan's and India's shift has been directly from agriculture to service sector.
(iii) Pakistan's and India's manufacturing sector show a decline in the growth rate.

Q9. What is the important implication of the "One child norm" in China?

Ans. The important implication of the one child norm in China is the low population growth. This also led to the decline in the sex ratio. After a few decades in China there will be more elderly people in proportion to young people. As a result, China will be forced to take step to provide social security measures with fewer workers.

Q10. Give reason for the slow growth and re-emergence of poverty in Pakistan.

Ans. The reasons for the slow growth and re-emergence of poverty in Pakistan's economy are-
(i) Agriculture growth and food supply situation was based on good harvest and not on a good institutionalized process of technical change.
(ii) Foreign exchange is an essential component for any country and it is always preferred to build foreign exchange reserves through exports of manufactured goods. However, in Pakistan most of the foreign exchange earnings came from remittances from Pakistani workers in the middle-East and the exports of highly volatile agricultural products.
(iii) There were growing dependents on foreign loans on the one hand and increasing difficulty in paying back the loans on the other.

Q11. "India, China and Pakistan have travelled more than seven decades of developmental path with varied results." Explain the given statement with valid arguments.

Ans. 1. Till the late 1970s, all the three countries were maintaining the same level of low development.
2. Over the last three decades, the three countries have taken different levels of development
(a) India has performed moderately over the years. Majority of its people still depend on agriculture. Infrastructure is lacking and more than 1/4th of its population lives below poverty line.
(b) Pakistan performed low because of political instability, over dependence of remittances and foreign aid along with volatile agriculture.
(c) China has used the market system to succeed in raising the rate of growth in economy with stress on alleviation of poverty.

Q12. "In the late 1970s, China introduced the One-Child norm policy that led to arrest in the population coupled with skewed sex ratio." Justify the given statement with valid arguments in support of your answer.

Ans. (i) One of the stringent measures to control population in China is one-child norm.

(ii) The one-child norm introduced in China in the late 1970s as the major reason for low population growth. This measure led to a decline in the sex ratio, the proportion of females per 1000 males.

(iii) The implications of this policy is after a few decades, in China, there will be more elderly people in proportion to young people. This led China to allow couples to have two children.

Q13. Give an appraisal of development strategies adopted by China

Ans. Pre-Reform Period-

(i) The new leadership in China was not happy with slow growth rate and lack of modernization in the Chinese economy.

(ii) Despite the land reforms, collectivization, the GLF campaign etc., the per capita grain output in 1978 was the same as it was in mid 1950s

(iii) There was already massive extension of basic health services in rural areas.

(iv) Commune system of farming allowed equitable distribution of foodgrains

Post Reform Period-

(i) It was observed that establishment of infrastructure in the areas of education and health had helped positively in improving the social and income indicators.

(ii) Reforms in agriculture created conditions for the growth in rural industries.

(iii) There was exponential increase in the rate of economic growth

Q14. Explain briefly any six indicators of human development in India, China and Pakistan.

Ans. (i) Life Expectancy: (a) China has the highest life expectancy of 76.9 years among the 3 countries. (b) Life expectancy for both India and Pakistan is 69.7 years and 67.3 years respectively.

(ii) Mean year of schooling: This data is 6.5% for India, 5.2% for Pakistan and 8.1% in China

(iii) GNP per capita (PPPUS$): In 2018, China' s GNP per capita is estimated at US$16057 while for India and Pakistan it is US $6681 and US $ 5005 respectively.

(iv) People below poverty line: 21.9% people in India (2011), 1.7% people in China (2015) and 24.3% people in Pakistan (2011) were below poverty line.

(v) Infant mortality rate: IMR is lowest in China with 7.4 infants dying before attaining one year of age per 1000 live births. The corresponding figures for India and Pakistan are 29.9 infants and 57.2 infants respectively.

(vi) Maternal mortality rate: For 1 lakh births ,29 women die in China whereas in India and in Pakistan this rate is 133 and 140 respectively.

Q15. Do you agree with the opinion that structure of Growth is more complementary with the GDP growth in China than India?

Ans. It is true that the structure of growth is more complementary with the GDP growth in China than India. Historically, the structure of growth has shown a shift from the predominance of agriculture to the predominance of Industry in GDP growth of the country. This process of transformation has seen a very effective absorption of the surplus labour force (in agricultural sector) by the industrial sector of the economy. China's growth story reveals a similar process of transformation. On the contrary, Indian growth story reveals that predominance of agricultural sector (In GDP growth) has given way to the predominance of tertiary sector, rather than the Industrial sector. While the % share of agriculture in GDP has tended to fall, the % share of tertiary sector risen more significantly than the % share of Industrial sector. Thus, the structure of growth has been less complementary with the GDP growth in India (compared with China).

Q16. India has an edge over Pakistan, but China has an edge over both India and Pakistan in the area of growth and development. Explain this fact, using indicators of growth and development.

Ans. (i) China has the second largest GDP (PPP) of $19.8 trillion, whereas, India's GDP (PPP) is $8.07 trillion and Pakistan's GDP is $ 0.94 trillion, roughly about 12 per cent of India's GDP.

(ii) India's GDP is about 40 per cent of China's GDP.

(iii) When many developed countries were finding it difficult to maintain a growth rate of even 5 per cent, China was able to maintain near double-digit growth for one decade.

In the 1980s, Pakistan was ahead of India; China was having double-digit growth and India was at the bottom. In 2015-17, there has been a decline in Pakistan and China's growth rates, whereas, India met with moderate increase in growth rates.

Q17. (i) Compare and contrast the development of India, China and Pakistan with respect to some salient human development indicators.
(ii) What does the liberty indicator measure?
Ans. (i) (a) China is moving ahead of India and Pakistan in respect of human development indicators such as: GDP per capita, or proportion of population below poverty line or health indicators such as mortality rates, access to sanitation, literacy, life expectancy or malnourishment.
(b) Pakistan is ahead of India in reducing proportion of people below the poverty line and also, its performance in sanitation.
(c) But neither of these two countries have been able to save women from maternal mortality. In China, for one lakh births, only 27 women die whereas in India and Pakistan, about 178 and 174 women die respectively.
(d) Surprisingly all the three countries report providing improved drinking water sources for most of its population.
(e) For the proportion of people below the international poverty rate of $ 3.20 a day, India has the largest share of poor among the three countries.
(ii) Liberty indicator measures 'the extent of Constitutional protection given to rights of Citizens' or 'the extent of constitutional protection of the Independence of the Judiciary and the Rule of Law'.
Q18. (i) What similar developmental strategies have India and Pakistan followed for their respective developmental paths?
(ii) Describe the path of developmental initiatives taken by Pakistan for its economic development.
Ans. (i) India and Pakistan became independent nations in 1947. India and Pakistan adopted similar strategies, such as creating a large public sector and raising public expenditure on social development. Both India and Pakistan introduced five-year plans. Pakistan follows the mixed economy model with co-existence of public and private sectors.
(ii) In the late 1950s and 1960s, Pakistan introduced a variety of regulated policy framework (for import substitution-based industrialisation). The policy combined tariff protection for manufacturing of consumer goods together with direct import controls on competing imports.
The introduction of Green Revolution led to mechanisation and increase in public investment in infrastructure in select areas, which finally led to a rise in the production of foodgrains.
In the 1970s, nationalisation of capital goods industries took place.
Pakistan then shifted its policy orientation in the late 1970s and 1980s when the major thrust areas were denationalisation and encouragement of private sector. During this period, Pakistan received financial support from western nations and remittances from continuously increasing outflow of emigrants to the Middle-east.
Q19. Evaluate the various factors that led to the rapid growth in Economic development of China.
Ans. (i) China's rapid economic development is an aggregate outcome of the introduction of the reforms in phases since 1978. The following are the various factors that led to the rapid growth in the economic development in China:
(ii) In the initial phase, reforms were initiated in agriculture, foreign trade and investment sectors. The system of collective farming known as Commune System was implemented. Under this system, land was divided into small plots that were allocated to the individual households. These households were allowed to keep the remaining income from land after paying the taxes to the government.
(iii) In the later phase, reforms were initiated in the industrial sector. During this phase, the private firms, village and township enterprises were allowed to produce goods and services and to compete with the State-Owned Enterprises.
(iv) The dual pricing was implemented. This implies that the farmers and the industrial units were required to buy and sell a fixed quantity of inputs and output at the price fixed by the government and the remaining quantities were traded at the market price. Gradually, with rapid increase in aggregate production in the later years, the quantities traded in the market increased by many folds.
(v) The reforms also included setting up of Special Economic Zones to attract foreign investors and to encourage its exports.
Therefore, the aggregate focus of all these economic reforms resulted in rapid industrial growth and economic development in China.